

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 15-04

CROCUS INVESTMENTS, LLC AND CROCUS, FZE,

— vs. —

**MARINE TRANSPORT LOGISTICS, INC. AND ALEKSANDR SOLOVYEV
a/k/a ROYAL FINANCE GROUP INC.**

COMPLAINANTS' REMAND BRIEF

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September 27, 2019

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INTRODUCTION

On July 16, 2019, the Federal Maritime Commission (FMC) issued a Memorandum Opinion and Order (the “Order”) affirming the Initial Decision of June 17, 2016 (the “ID”) in all respects except for complainants’ 46 U.S.C. § 41102(c) claim against Respondent Marine Transport Logistics (“MTL”) regarding the storing or handling of the complainants’ Formula boat from August 2013 through February 14, 2014. The Commission vacated the ID as to that claim and remanded for further consideration.

The Presiding Officer has ordered supplemental briefs addressing the issues on remand from the Commission, namely: (1) further adjudication as to whether MTL was acting as an OTI (and in particular, an NVOCC) with respect to the Formula boat from August 2013 (when it was purchased) to February 2014 (when complainant Crocus began to inquire about domestic transportation of the boat); and whether respondents violated 46 U.S.C. § 41102(c) with respect to storage or other arrangements for the Formula boat between August 2013 through February 14, 2014.

These issues were addressed in Complainants’ opening and reply post hearing briefs as well as in their Exceptions to the ID. These issues were also addressed in complainants’ First and Second Petitions to Reopen the Proceedings for Purposes of Taking Further Evidence and complainants’ Status Report of November 1, 2018, and Status Report of April 30, 2019 and accompanying Certification. Complainants incorporate the arguments and authority cited in those briefs (which also cite to other proceedings before the Commission under other docket numbers) and will refer to certain sections of those briefs and Status reports as applicable in this brief. Complainants’ response and argument as to the above issues raised by the Commission and Presiding Officer on remand are set forth below.

I. MTL ACTED AS AN OTI WITH REGARD TO THE SUBJECT FORMULA

In the first instance, it is respectfully submitted that the facts on the record demonstrates that MTL acted as an OTI with regard to the subject Formula for the numerous reasons set forth below.

The Commission stated in its Order that the ALJ dismissed complainants' 46 U.S.C. § 41102(c) claim because "[t]he evidence establishes that the third boat never left the United States; therefore, the third boat never entered into international commerce, the Shipping Act does not apply, and the Commission does not have jurisdiction to resolve disputes regarding its handling." See, Order at p. 21. The ALJ further found that the parties "never entered into an agreement to transport the Formula by water from the United States to a foreign port." Id. The ALJ did not otherwise address the merits of Crocus's claims about the Formula. Id.

The Commission additionally stated in the Order that: "[t]he parties' arguments before the ALJ, and on appeal, focused on whether there was an express or implied contract to transport the Formula overseas. In particular, in its exceptions, Crocus argues that there was an implied contract, and Respondents dispute that assertion. Exceptions at 2, 7-13; Reply at 3-12." Id.

The Commission further explained in the Order that the parties thus assume (and the I.D. could be read to hold) that the existence of a contract is critical to § 41102(c) liability, however, the relevant inquiry here is not, however, limited to whether there was a contract for overseas shipment. Id. Nor was the ALJ' s focus on whether the Formula left the United States or had an agreement for overseas shipment clearly linked to the Shipping Act or precedent, and it unduly narrows the scope of the inquiry to two factors. Id. The Commission also explained that the approach supported by the text of § 41102(c) and Commission caselaw asks: was the respondent acting as a regulated entity with respect to the conduct at issue? Id.

The Commission additionally stated in the Order that the inquiry here should have been: was Marine Transport acting as an OTI with respect to the Formula boat from August 2013 (when it was purchased) to February 2014 (when Crocus began to inquire about domestic transportation of the boat), explaining that this fact-intensive analysis takes into account the statutory definition of OTI (and in particular, NVOCC), and evidence about the parties' conduct during that time frame. *Id.* (citing Worldwide Relocations-Possible Violations of the Shipping Act, 32 S.R.R. 495, 2012 FMC LEXIS 23 [FMC 2012]; Tianshan, Inc. v. Tianjin Hua Feng Transport Agency Co., Ltd., 31 S.R.R. 1831, 2011 FMC 9 [ALJ 2011], 31 S.R.R. at 1842-43).¹ Up front, MTL (via Solovyev et al.) held itself out to the public to be a provider of OTI services.²

¹ As to Worldwide Relocations, *supra*, the Presiding Officer may recall the well-established methodology to determine if an entity is operating as an NVOCC: to determine if an entity is a common carrier, it is important to consider all factors present in each case and to determine their combined effect. See, Worldwide Relocations, *supra*, (citing, Activities, Tariff Filing Practices and Carrier Status of Containerships Inc., 9 F.M.C. 56 [F.M.C. 1965])). The Commission has indicated that it will “look beyond documentary labels.” *Id.* For example, “it is the status of the carrier, common or otherwise, that dictates the ingredients of shipping documents; it is not the documentation that determines carrier status.” *Id.* To determine whether an entity meets this standard, it is necessary to examine the entity's conduct on that shipment. *Id.* (citing Bonding of Non-Vessel-Operating Common Carriers, 25 S.R.R. [1679] [F.M.C. 1991]; Low Cost Shipping, Inc., 27 S.R.R. 686 [F.M.C. 1996] [entity found to be operating as an NVOCC on some shipments and as an Ocean Freight Forwarder on other shipments]). This is a fact intensive inquiry. *Id.* “Resolution of that factual question requires an examination of each entity's conduct on a particular shipment to determine whether it operated as either an NVOCC or an Ocean Freight Forwarder on that shipment. Accordingly, after explaining how the evidence was weighed, each shipment alleged will be reviewed individually.” *Id.*

² Additionally, in Worldwide Relocations, *supra*, the Commission affirmed the ALJ's articulation of the Commission's approach to determining NVOCC status, to wit: “Holding out”. *Id.* “In answering the question of whether an entity is operating as an NVOCC, the Commission first determines whether the entity was ‘holding itself out to the general public to provide transportation by water.’ 46 C.F.R. §515.2(f).” *Id.* “Among ocean transportation intermediaries, only an NVOCC holds ‘...itself out to the general public to provide transportation by water...’ An OFF does not pass this threshold question. A person or entity may hold out to the public “by the establishment and maintenance of tariffs, by advertisement and solicitation, and otherwise.” *Id.* (citing Common Carriers by Water - Status of Express Companies, Truck Lines and Other Non-Vessel Carriers, 1 S.R.R. 292 [FMC 1961]). The FMC has previously found that advertising and solicitations to the public are important factors in determining the issue of “holding out” by an entity. *Id.* (citing Containerships, *supra*, 6 S.R.R. 483 [FMC 1965]). “As to inferences or presumptions on the ‘holding out’ issue: A party in a Shipping Act case has several different methods of proving violations of the Act. In some cases, such as the case here, where the ALJ reviews conduct on a number of shipments that satisfies a preponderance of evidence on an element, such as ‘holding out,’ the ALJ may draw reasonable inferences that a person or entity acted similarly in handling another shipment when the evidence is not available on that element for that shipment.” *Id.* The Commission has previously determined that such inferences are permissible. *Id.* (citing Containerships, *supra*, 9 F.M.C. at 62 [“The most frequently mentioned characteristic is that a common carrier by course of conduct holds himself out to accept goods from whomever offered to the extent of his ability to carry.”])).

The Commission also explained that whether the Formula was actually transported to a foreign port or the subject of a contract to do so is highly relevant to the analysis of whether MTL acted as an OTI, but not necessarily determinative. Order. at p. 22. For instance, the Commission has determined that a broad swath of conduct falls within the scope of NVOCC activities. *Id.* (citing 46 C.F.R. § 515.2[k]), and that this determination is made more difficult where, as here, the parties seem to operate without much documentation and/or respect for corporate or other formalities.³

As set forth below, there are numerous facts supporting the conclusion that MTL had acted as an OTI (in some instances as an NVOCC and in others as an Ocean Freight Forwarder) with specific regard to the Formula. In particular, an example this is the fact that MTL (through the actions of its agent Aleksandr Solovyev and his various companies such as Royal Finance Group Inc. [“RFG”]) offered transportation services for resale to complainants, accepted freight payments from complainants, handled freight or other monies advanced by shippers, charged complainants for and arranged for inland transportation to the port of export and paid for inland freight charges, offered loading and shipping services to Dubai to complainants, charged complainants for the preparation of “shipping documents”, charged complainants “commissions”, arranged for and paid warehouse storage of the Formula pending its export, paid World Express & Connection, Inc. (“WEC”) for unloading the subject Formula from the trailer on which it was delivered from the auction warehouse from where it was purchased and delivered to the port of loading, undertook to find a suitable trailer so that the Formula could be

³ As to the holdings set forth in *Worldwide Relocations*, *supra*, set forth in the footnotes above, that matter is also relevant to the extent that an evaluation of the parties course of conduct also indicates that it was MTL’s routine practice for the shipment of the other boats shipped by complainants for MTL to issue and provide relevant shipping documents (such as an MTL House Bill of Lading, Dock Receipt, or Vessel Bills of Sale) only **after** the cargo had been loaded and the ocean liner had departed from the port of origin. *See, Worldwide Relocations*, *supra* at p. 6 (citing Fed. R. Evid. 406 and explaining that “[e]vidence . . . of the routine practice of an organization . . . is relevant to prove that the conduct of the person or organization on a particular occasion was in conformity with the habit or routine practice”).

exported by MTL, and provided other related services incident to the export of the Formula pursuant to 46 U.S.C. §40102 (19)(b).

Up front, and as to the routine practices of MTL as described below, the Presiding Officer is also respectfully asked to note that the record demonstrates that it has been, and continues to be the business model of MTL to fail to observe just and reasonable practices connected with the handling, storing, and delivering of cargo. That business model extends far past the handling, storing, and delivering of complainants' cargo in this matter, and MTL's past activity with regard to other shippers is set forth in detail in the two FMC proceedings discussed below, to wit: Best Way USA, Inc. v. Marine Transport Logistics (FMC Informal Docket No.: 1901[I]) and Samir Abusetta et al. v. JAX Auto Shipping Inc. and Marine Transport Logistics, Inc. (FMC Informal Docket No.: 1932[I]). (We note that while MTL was not found to have violated the Shipping Act in Samir, *supra*, that in the matter at bar, MTL is charged with the storage charges were accruing with regard to the subject Formula and failed to notify complainants, as did JAX Auto Shipping Inc. in Samir, *supra*.) The undersigned counsel also represents complainants in the matter of MAVL Capital Inc., et al., v. Marine Transport Logistics, et al. (FMC Docket No.: 16-16), wherein it is alleged that MTL violated 46 U.S.C. §41102 by, *inter alia*, failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering complainants' property, and more specifically, by knowingly misdelivering Complainants' cargo (to wit: a Mercedes and Porsche discussed in this brief) to Dubai.

Last, and as to Solovyev, the "agent" of MTL, and prior to discussing the facts and legal arguments below, it is appropriate to bring to the Presiding Officer's attention the fact that Solovyev is a proven fraud, liar, cheat, and 'master criminal' inasmuch as his criminal records

indicate that he attempted take blank VIN number plates, alter them, and use them in order to pass along old trailers and sell them as new ones with the freshly minted plates. He also pled guilty, three years prior, to a New Jersey Criminal Court Judge for receiving stolen property. This information is contained in records of the Union County Prosecutor's Office. See, Appendix "C" at ¶¶ 47, 75. This information is relevant now for sole purpose of assisting the Presiding Officer with weighing the credibility of statements of Solovyev (whom we argue has zero credibility), as well as the veracity and authenticity of evidence which respondents rely upon in defense of complainants' claims herein.

Standard of Review

Per the Federal Maritime Commission's Regulations and Statutes pertaining to Commission cases, including the Shipping Act of 1984, 46 U.S.C. 40101 *et seq.*, as well as well-established Federal case law pertaining to maritime cases, Ocean Transportation Intermediaries are defined as either Ocean Freight Forwarders (OFFs) or Non-Vessel-Operating Common Carriers (NVOCCs). § 40102(19). Both OFFs and NVOCCs are intermediaries between (i) shippers, who seek to export cargo, and (ii) ocean carriers, who physically carry the cargo on their vessels. See, NLRB v. Int'l Longshoremen's Ass'n, 447 U.S. 490, 100 S. Ct. 2305, 65 L.Ed.2d 289 (1980); Nat'l Customs Brokers & Forwarders Ass'n of Am., Inc. (NCBFAA) v. United States, 883 F.2d 93, 94-95 (D.C. Cir.1989). See also, Landstar Exp. Am., Inc. v. Fed. Mar. Comm'n, 569 F.3d 493, 494 (D.C. Cir. 2009).

A Non-Vessel-Operating Common Carrier is "a common carrier that ... does not operate the vessels by which the ocean transportation is provided" and "is a shipper in its relationship with [a vessel-operating] common carrier." 46 U.S.C. § 40102(17). Although NVOCCs usually do not own or operate vessels to actually carry the cargo, they lease facilities and services from

other firms—making them the “common carrier[s]” responsible for transportation of the cargo from origin to destination. See, NCBFAA, supra, 883 F.2d at 101. Most NVOCCs consolidate small parcels from multiple shippers bound for the same destination and arrange for them to be shipped as a single, large, sealed container under one bill of lading. Id. Upon arrival, NVOCCs arrange for the container to be broken down and for each parcel to be distributed to each customer. Thus, unlike an OFF, the NVOCC issues its own bill of lading to each shipper, and the vessel-operating common carrier issues a bill of lading to each NVOCC. See, Fireman's Fund Am. Ins. Cos. v. Puerto Rican Forwarding Co., 492 F.2d 1294, 1295 (1st Cir.1974). Unlike OFFs, NVOCCs receive compensation only from the shipper. Se, NCBFAA, supra, at 101. See also, Landstar, supra, at 495.

46 CFR 515.2 regarding Licensing, Financial Responsibility Requirements, and General Duties for Ocean Transportation Intermediaries explains, in *relevant* part, as follows:

(k) Non-vessel-operating common carrier services refers to the provision of transportation by water of cargo between the United States and a foreign country for compensation without operating the vessels by which the transportation is provided, and may include, but are not limited to, the following...

- (1) Purchasing transportation services from a common carrier and offering such services for resale to other persons;
- (3) Entering into affreightment agreements with underlying shippers;
- (4) Issuing bills of lading or other shipping documents...
- (6) Arranging for inland transportation and paying for inland freight charges on through transportation movements;
- (7) Paying lawful compensation to ocean freight forwarders;
- (8) Coordinating the movement of shipments between origin or destination and vessel;
- (11) Collecting freight monies from shippers and paying common carriers as a shipper on NVOCC's own behalf.

46 CFR §515.2 further reads in relevant part, as follows:

(h) Freight forwarding services refers to the dispatching of shipments on behalf of others, in order to facilitate shipment by a common carrier, which may include, but are not limited to, the following:

- (7) Arranging for warehouse storage;
- (10) Preparing and/or sending advance notifications of shipments or other documents to banks, shippers, or consignees, as required;
- (11) Handling freight or other monies advanced by shippers, or remitting or advancing freight or other monies or credit in connection with the dispatching of shipments;
- (13) Giving expert advice to exporters concerning letters of credit, other documents, licenses or inspections, or on problems germane to the cargoes' dispatch.

46 CFR §515.2 additionally reads in relevant part, as follows:

(t) Shipper means:

- (5) A non-vessel-operating common carrier that accepts responsibility for payment of all charges applicable under the tariff or service contract.

46 CFR §515.2 also reads in relevant part, as follows:

- (v) Transportation-related activities which are covered by the financial responsibility obtained pursuant to this part include, to the extent involved in the foreign commerce of the United States, any activity performed by an ocean transportation intermediary that is necessary or customary in the provision of transportation services to a customer, but are not limited to the following:
 - (1) For an ocean transportation intermediary operating as an ocean freight forwarder, the freight forwarding services enumerated in paragraph (h) of this section, and
 - (2) For an ocean transportation intermediary operating as a non-vessel-operating common carrier, the non-vessel-operating common carrier services enumerated in § 515.2(k).

It is well settled that an ocean freight forwarder “is an entity that arranges transportation of goods on behalf of a shipper from a United States location to an overseas location. The freight forwarder, acting as the *shipper's* agent, takes delivery of the goods, routes them to their destination, prepares documentation, arranges for any necessary storage, and completes any other tasks relating to the movement of the goods. Freight forwarders *must be licensed by the Federal Maritime Commission...* and are strictly regulated...”. See, United States v. Ventura, 724 F.2d 305, 306, 1983 U.S. App. LEXIS 14524, *3-4, 1984 AMC 645 (2d Cir. N.Y. 1983).

It is additionally well settled that in order to discern whether a party has acted as an ocean freight forwarder or a non-vessel operating common carrier, a Court may consider the following factors: (1) the way the party's obligation is expressed in documents pertaining to the agreement; (2) the history of dealings between the parties; (3) issuance of a bill of lading; and (4) how the party made its profit and, in particular, whether the party acted as 'agent of the shipper . . . procuring transportation by carrier and handling the details of shipment for fees which the shipper paid in addition to the freight charges of the carrier utilized for the actual transportation. See, Zima Corp. v. M. V. Roman Pazinski, 493 F. Supp. 268, 273 (S.D.N.Y. 1980) (quoting Chicago, Milwaukee, St. Paul & Pacific R.R. Co. v. Acme Fast Freight, Inc., 336 U.S. 465, 484, 69 S. Ct. 692, 93 L. Ed. 817 (1949)); Ca' de Be' Imps., Inc. v. Zim-American Israeli Shipping Co., 2006 U.S. Dist. LEXIS 127, 2006 WL 23547 (E.D. Pa. 2006).

It is further well settled that “a shipper retains a freight forwarder because of the freight forwarder's expertise in securing the dispatch of cargo to a foreign destination. Because of this expertise and the freight forwarder's greater access to information from NVOCCs and VOCCs, the shipper relies on the freight forwarder's representations regarding the suitability, efficiency, and economy of using certain carriers, the availability of ships, and other matters relating to the

shipment. Moreover, because of the shipper's inability to monitor every step in the shipping process, the freight forwarder must often make arrangements for shipment details without express approval for these arrangements from the shipper. The freight forwarder thus exercises considerable control over the transport-related decisions of the shipper.” See, United States v. Ventura, 724 F.2d 305, 310–11 (2d Cir. 1983).

It is also well settled that the relationship between a shipper as principal and freight forwarder as agent has been described to be a fiduciary relationship of the “greatest trust and fidelity” where the freight forwarder “has the obligation of trying to obtain for the shipper the cheapest and the most efficient and most economical transportation that he can.” Id. Recognizing the nature of this relationship, courts have described freight forwarders as “agents of the shipper” for the purposes of arranging cargo transport, United States v. American Union Transport, Inc., 327 U.S. 437, 443, 66 S.Ct. 644, 647, 90 L.Ed. 772 (1946), and as, essentially, “export departments for their shipper clients,” New York Foreign Freight Forwarders and Brokers Ass'n v. Federal Maritime Comm'n, 337 F.2d 289, 292 (2d Cir.1964).

It is additionally well settled that an intermediary’s conduct, not what it labels itself, will be determinative of its status. See, Yakov Kobel et al. v. Hapag-Lloyd, A.G. et al., 2013 WL 9808671, at *26 (citing EuroUSA, Shipping, Inc., 31 S.R.R. 967, 975 [ALJ 2009]).

The facts set forth in detail below, including those cited by the Commission as well as the numerous facts outlined in Complainants’ Opening and Reply Briefs and Exceptions (as well as complainants’ First and Second Petitions to Reopen the Proceedings for Purposes of Taking Further Evidence and complainants’ Status Report of November 1, 2018, and Status Report of April 30, 2019 and accompanying Certification) clearly indicate that MTL acted as an OTI with respect to the Formula boat from August of 2013 to February of 2014.

MTL's Conduct Confirmed That It Acted As An OTI With Regard To The Formula

In the first instance, the Presiding Officer is respectfully asked to note that MTL is an NVOCC licensed by the Commission under License No.: 018708. (See, ID at p. 11, FF# 14). MTL does not carry an OFF license. As to respondent Solovyev, the ID explained that at times, Solovyev or one of his companies acts as agent for MTL. (*Id.* at p. 12, FF# 28). Specifically, the ID explained that: Solovyev is the sole owner, officer, and director of RFG; RFG advances payments on international transactions on behalf of its customers for the purchase of used vehicles and boats at auction and for payment of transportation charges; Solovyev is the sole owner, officer, and director of Car Express & Import, Inc. (Car Express); at the request of customers, Car Express purchases automobiles and boats from auctions and arranges on behalf of that customer for transportation of the automobile or boat from the U.S. to a foreign country; and Solovyev/Car Express acts as agent for MTL on shipments transported by MTL. (*Id.* at pp. 2-3).

In dismissing complainants claim that Solovyev, doing business as RFG had violated 46 U.S.C. § 40901(a) by acting as an OTI without a license by presenting invoices and collecting payment for MTL's transportation services, the ALJ also explained that the record shows that upon purchase of complainants' boats in the United States, Solovyev/Car Express, acting as agent for MTL, arranged for the international ocean transportation of the boats to Dubai, MTL issued bills of lading for transporting the boats to Dubai, and MSC identified MTL as the shipper on the MSC bills of lading. (See, ID at p. 20). Specifically, the ALJ explained that: “[b]ecause Solovyev made it known that he was acting as an agent for the disclosed NVOCC principal MTL, Solovyev did not hold himself or RFG out to the public to provide transportation and did not assume responsibility for Complainants' boats. Operating as an NVOCC, MTL issued the bills of lading for the transportation from the United States to Dubai”. (See, ID at p. 21).

Accordingly, to the extent that Solovyev's own conduct (or that of RFG or Car Express in which he was the sole owner, officer and director) demonstrates OTI activity, or further to the extent that such activity gives rise to violations of the Shipping Act as discussed below, that activity is imputed to the principal NVOCC, to wit: MTL.⁴ In this matter, it is undisputed that respondents performed various OTI tasks, based on evidence about the parties conduct during that time frame. Respondents' conduct as an OTI as to the Formula is established by the fact that:

- (1) the parties' regular course of conduct shows that complainants engaged **respondents** to perform OTI services for complainants, conditioned on complainants' purchase of the Formula in the United States for the sole purpose of MTL **shipping the boat to Dubai for repair and resale**; (See, ID at pp. 12, 16, FF# 28, 29, 75) - - we add here that it has been established that MTL was not only involved in shipping, but it was additionally in the business of selling automobiles and pleasure boats for the purpose of its clients engaging MTL to export said cargo after it was procured by MTL and delivered to its warehouse for export - - While there is no Vessel Bill of Sale on the record for the Formula, on the issue of the parties' course of conduct, it is undisputed that the Formula was purchased from MTL/Soloveyv in the same manner as other boats purchased and exported by MTL which is why the President Officer may refer to other Vessel Bills of Sale on this issue such as the Vessel Bills of Sale for the Chaparral and Monterey boats, as well as for the Four Winds boat (listed on the bill of sale as "Four Winds" which the Commission determined to be a "Four Winns" in its March 6, 2017 Memorandum Opinion and Order at p. 9) and Sea Ray boats purchased by complainants from MTL and Solovyev (bates numbered DEF0362 – DEF0365) were marked as Exhibit "14" during Alper's deposition (See, Appendix To Complainants' Status Report filed on November 1, 2018, as Appendix "D").
- (2) respondents allege in their Answer to the Complaint herein that after MTL sold the 2010 Formula to complainants that respondents had the Formula delivered to WEC's warehouse to "...await further instructions and payment from Middle East Asia, which were never received, for its ocean shipment from Port Newark to Jebel Ali or any other foreign destination, pursuant to a MTL NVOCC House Bill

⁴ See, Best Way, *supra*, Decision, dated January 24, 2012, p. 8, fn. 21 (citing Restatement [Third] of Agency §§ 7.03-7.06; Hellenic Lines Ltd - Violation of Sections 16 [First] and 14, 7 FMC 673, 676 [1964]; Unapproved Sec. J 5 Agreements -Spanish/Portuguese Trade, 8 FMC 596, 609 [1965]; Malpractices - Brazil/United States Trade, 15 FMC 55, 59 ["Shipping Act cannot be circumvented through the medium of an agent"]; Pickup and Delivery- Puerto Rico, 16 FMC 344, 350 [FMC 1973] [stating, "Respondents cannot insulate themselves from the responsibility for the proper performance of the service by attempting to relieve themselves of accountability for their agents' acts."]; and Corpco International Inc. v. Straightway, Inc. - FMC Dkt. No. 97-05, 28 S.R.R. 12 [I.D.. 1998], adopted, 28 S.R.R. 296 [FMC 1998]).

of Lading”⁵ (See, Answer filed on July 10, 2015, FMC Docket 15-04, Document No.: 5 at ¶ 16);

- (3) complainants were charged \$12,000.00⁶ for loading/shipping the Formula to Dubai; (ID at p. 16, FF# 79)
- (4) complainants were charged for, and MTL arranged for inland transportation of the Formula from the auction warehouse where the Formula was purchased to the port of loading for the sum of \$3500.00⁷ (See, ID. at pp. 16-17, FF# 77, 80).
- (5) respondents provided expert advice to complainants, for example advice on the need for proper container for loading the Formula onto an ocean liner, or for a trailer so the Formula could be exported to Dubai (See, ID at p. 17, FF# 81-84)

⁵ As part of the parties’ regular course of business, MTL regularly provided to complainants an MTL House Bill of Lading (“HBOL”) which contained specific language regarding payment to MTL for Ocean Freight. (See, ID at p. 14, FF# 48 referring to complainants’ exhibit (CX 006), a copy of which is annexed hereto as Appendix “A” and which states as follows: “**Payment must be recovered no later than 2 weeks after sailing date. Past due Invoices are subject to mandatory Late Fee (\$50) and Documentation Fee**”. We note for that during the time period relevant to the events in this action, MTL exported a Mercedes and Porsche to a warehouse in Dubai controlled by complainants (See, ID at p. 19, FF# 101). A copy of the MTL HBOL containing the same language as set forth above for payment for ocean freight, can be found on the Commission’s Docket in the matter of MAVL Capital Inc., *supra*, (FMC Docket No.: 16-16) in Document 26 filed on March 7, 2017: Complainant’s Appendix to Petition for Leave to Supplement Exceptions of Complainants to the Initial Decision, in Exhibit “A” thereof. The HBOL was not produced in this matter because there were no Shipping Act violations alleged with regard to the shipment of the cars. It is relevant now because the HBOL was issued during the same time period of the events alleged in this action and is indicia of MTL’s routine practice allowing for up to two weeks after sailing for collection of payment.

⁶ This sum includes monies for a commission which MTL charged for arranging for the shipment of complainants’ cargo with the ocean liner. Solovyev testified that he did not know how much commission was charged. See, Deposition of Aleksandr Solovyev in Respondents’ Appendix filed in this matter on February 11, 2016, Document No.: 15, at page bates numbered RX41, transcript p. 54/ln. 4-18. The ALJ also found that “Solovyev through RFG forwarded payments he had collected from Complainants for MTL’s shipping services to MTL”. (See, ID at p. 13, FF# 37). Respondents admitted this fact as to the two other boats (to wit: the Monterey and Chaparral) at issue in this matter. As to the Monterey, the record demonstrates that RFG charged complainants the sum of \$2,400 for loading/shipping to Dubai (See, ID at p. 14, FF# 45) but MTL received the total sum of \$3,441.00 for this shipment (See, Document # 51 on this Docket, Appendix “H”). In these proceedings, RFG produced a copy of a check written to MTL in the sum of \$3,441.00 bearing notation “83038” which respondents explained in their Reply to Complainants’ Second Petition to Reopen Proceedings, that: “...the RFG check is and was what it was represented to be: a payment made to MTL for ocean freight for the export of the Monterey Boat. (See, Document 53 on this Docket at p.11). As to the Chaparral, RFG charged complainants \$2,400 for loading/shipping to Dubai (See, ID at p. 14, FF# 52) but MTL admitted that RFG check no. 5111, in the amount of \$6,025.00 produced in this matter was payment applied to the U.S./Dubai export of the Chaparral boat. (See, Document 53 on this Docket, at p.14).

⁷ As to proof of respondents practice of overbilling complainants and inflating invoices for the Formula, the record shows that RFG paid Light House Transport \$2,230.00 via check no.: 5133 on August 14, 2013 (See, Appendix to Complainants’ Second Petition to Reopen the Proceedings, Document 51 on this Docket filed on September 27, 2017, at Appendix “D”, bates no. DEF0683). It appears that the Office of the Secretary did not upload the full Appendix to the Docket, which can be provided to the Presiding Officer upon request. Copies of check no.: 5133 and cover email to the Office of the Secretary with the Appendix are annexed hereto as Appendix “B”. While RFG paid Light House Transport \$2,230.00 for delivery, it invoiced complainants \$3,500 for the delivery.

- (6) MTL prepared shipping documentation at the time that the Formula was placed into respondents' custody and control for export, wherein respondents collected \$500 for preparation of "Shipping Documents" (See, Answer filed on July 10, 2015, FMC Docket 15-04, Document No.: 5 at ¶ 19); Respondents also recently admitted to the foregoing in their Response to Complainants' Statement of Material Facts in litigation ongoing in the U.S. District Court for the District of New Jersey captioned as World Express & Connection, Inc. v. Crocus Investments, LLC et al., U.S.D.C. – D.N.J. Docket No.: 2:15-cv-08126 – that Response is located on the Court's Docket as ECF 180, and the admission is set forth in paragraph "129" thereof. Copies of the Statement of Material Facts and the Response are annexed hereto as Appendix "C" and "D"⁸;
- (7) MTL collected an additional \$4500.00 that respondents failed to apply to the \$12,000.00 that was due for loading and shipping the Formula to Dubai (See, Answer filed on July 10, 2015, FMC Docket 15-04, Document No.: 5 at ¶ 19).
- (8) complainants paid respondents for the trailer for the Formula a second time in the sum of \$4950.00 on December 4, 2013, so the Formula could ship to Dubai (See, ID at p. 17, FF# 89);
- (9) MTL paid to WEC the sum of \$550.00 for unloading, as well as storage fees starting on August 12, 2013 and ending on February 14, 2014 (a period of 186 days) in the amount \$19,587.66⁹ (See, WEC Invoice # 50677-1, dated 2/14/14, bates numbered "RESP 012" which was annexed as Appendix "C" to Complainant's Additional Proposed Findings of Fact and Brief and Appendix in Support of Complainants' Second Petition to Reopen the Proceedings filed on September 27, 2017 which can be found on this Docket as Document 51¹⁰; see also, Respondents' Proposed Findings of Facts, and Response to Complainants' Proposed Findings of Fact, filed on this Docket on February 11, 2016, Document 13 at Response to Complainants Proposed Fact #31; see also, World Express & Connection, Inc.'s Second Amended Response to Interrogatories, dated November 24, 2017 at ¶ 17 (Annexed hereto as Appendix "E")¹¹;

⁸ The Statement of Material Facts and Response from World Express, *supra*, were not produced in this matter as they were filed in Court after the record was closed in this matter, but are relevant here for respondents' admission of collected \$500 for preparation of "Shipping Documents" as indicia of MTL's OTI activity as to the Formula.

⁹ The Initial Decision explains, on p.19 at FF# 100 that WEC is suing complainants in the U.S. District Court for the District of New Jersey for this money (citing to complainants' CX 254-CX268).

¹⁰ It appears that the Office of the Secretary did not upload the Complete Appendix to the Docket. See, footnote "7".

¹¹ Paragraph "17" states as follows: "Identify the person by first and last name that issued WEC invoices numbered 40761-1 and 50677-1 and state whether or not the invoices were paid. RESPONSE: WEC Invoices 40761-1 and 50677-1 were issued by Raya Bakhirev on information provided by Aleksandr Solovyev. The two invoices were paid by MTL. This response was provided by respondents after the record was closed in this matter, and is relevant here for MTL having paid WEC for storage and unloading as indicia of MTL's OTI activity as to the Formula.

- (10) MTL paid to WEC the sum of \$14,322.16¹² for storage fees starting on February 15, 2014 and ending on June 30, 2014 (a period of 136 days) (See, WEC Invoice # 40761-1 dated 6/27/2014, bates numbered “RESP 013” in this record, which is annexed hereto as Appendix “F”; see also, Respondents' Proposed Findings of Facts, and Response to Complainants' Proposed Findings of Fact, filed on the Docket on February 11, 2016, Document 13 at Response to Complainants Proposed Fact #31; see also, World Express & Connection, Inc.’s Second Amended Response to Interrogatories, dated November 24, 2017 at ¶ 17 (Appendix “E”). Respondents also recently admitted to the foregoing in their Response to Complainants’ Statement of Material Facts in litigation ongoing in the matter of World Express, *supra*, the admission is set forth in paragraph “41” in Appendix “C” and “D”.
- (11) for the first time on August 13, 2014, respondents sent an invoice to Crocus Investments, LLC for \$38,859.39 for 369 days of storage of the Formula (CX 106) (See, ID at p. 18, FF# 97); plus the sum of \$550.00 for “unloading from the trailer”. The total is \$ 39,409.39.¹³
- (12) for the first time on August 13, 2014, MTL sent Final invoice # 50677 to RFG for 369 days of storage of the Formula and for “unloading”. The total amount is \$39,409.39 and a copy of the invoice, bates numbered “RESP 019” in this record, is annexed hereto as Appendix “H”.
- (13) in litigation ongoing in World Express, *supra*, respondents produced an email communication that shows Claimant’s payments for freight and other charges for about ten boats¹⁴ and also shows that MTL was holding \$15,207 of complainants’ monies in escrow to be applied towards the payment of Ocean Freight (see, Complainant's Certification of Marcus A. Nussbaum at ¶8, filed on the Docket on April 30, 2019 as Document 71).

¹² See footnote 9 and 11.

¹³ We note here that in Finding of Fact # 97, the Presiding Officer omitted to explain that the invoice referenced in the Finding of Fact, to wit: the invoice bates numbered CX106 in this record (which is annexed hereto as Appendix “G”) contains a line item for “Storage” in the sum of \$38,859.39, and “Unloading from the trailer” in the sum of \$550.00, both of which are included within the total of \$39,409.39.

¹⁴ The ID explains, on p. 13 at FF# 39 that: “Safonov purchased about ten boats using Solovyev’s services”.

The ALJ's Findings of Fact

The following relevant findings of fact ("FF") from the ID are additionally set forth below for the Presiding Officer's consideration:

Solovyev is the sole owner, officer, and director of Car Express & Import, Inc. (Car Express). (FF# 20, ID at p.11);

At the request of customers, Car Express purchases automobiles and boats from auctions ***and arranges on behalf of that customer for the transportation of the automobile or boat from the United States to a foreign country.*** (FF# 21, ID at p.11) (Emphasis added) Solovyev is the sole owner, officer, and director of the owner of respondent Royal Finance Group, Inc. (RFG). (FF# 22, ID at p.11);

MTL's tariff provides that MTL's container freight station/container yard (CFS/CY) "may be a designated warehouse. Shipper, at its own expense, will deliver its vehicle to [MTL's] designated warehouse for loading into the container for movement to the U.S. load port." (FF# 26, ID at p.12);

At times, Solovyev or one of his companies acts as agent for MTL. (FF# 28, ID at p.12) Safonov engaged ***Solovyev and his three companies*** to perform services for Safonov and his three companies to purchase used boats in the United States ***and ship the boats to Dubai for repair and resale.*** (FF# 29, ID at p.12);

Solovyev/Car Express, as agent for MTL, would arrange for the shipment of the boats to Dubai. (FF# 42, ID at p.13);

On August 7, 2013, Car Express purchased a 2010 Formula boat 34PC, VIN TNRD7870C010, for Safonov for a total of \$56,280. (FF# 74, ID at p.16);

Safonov bought the Formula with the intention of sending it to Dubai for repair and resale. (FF# 75, ID at p.16);

On August 7, 2013, RFG sent invoice 1189AT to Alexander Safonov, Crocus Investments for the purchase of a Formula boat 34PC, VIN TNRD7870C010. (FF# 76, ID at p.16);

The RFG invoice indicates that Alexander Safonov, Crocus Investments, was charged \$56,280 for the Formula and \$3,500 for delivery, a total of \$59,780. (FF# 77, ID at p.16) On August 7, 2013, RFG sent invoice 1189AT to Andrey Tretyakov, Dubai, UAE, Middle Asia Alfa for the purchase of the Formula. (FF# 78, ID at p.16);

The RFG invoice indicates that Andrey Tretyakov, Dubai, UAE, Middle Asia Alfa was charged \$56,280 for the Formula; \$3,500 for delivery, \$12,000 for loading/shipping to Dubai, \$500 for commission, \$500 for documentation, and \$4,500 for a trailer, a total of \$77,280. (FF# 79, ID at pp.16-17);

On August 9, 2013, Crocus Investments wired \$59,780 to RFG to pay for the Formula (\$56,280.00) and the delivery to the intended port of loading (\$3,500). (FF# 80, ID at p.17);

The Formula required a trailer for ocean shipment. (FF# 81, ID at p.17);

On August 13, 2013, Crocus FZE made a wire transfer of \$5,000.00, Fed Wire Out 028409, Reference Number W028409 0813. (FF# 82, ID at p.17);

In November 2013 Solovyev told Safonov he found a trailer for the Formula but Safonov did not like the trailer. (FF# 83, ID at p.17);

In December 2013, Solovyev found another trailer for the Formula that Safonov found acceptable. (FF# 84, ID at p.17);

On December 3, 2013, RFG issued invoice #1204AS to Crocus FZE in the amount of \$12,000 for loading and shipping the Formula to Dubai, \$500 for commission, and \$500 for documentation, a total of \$13,000. (FF# 85, ID at p.17);

On December 3, 2013, RFG issued invoice #1204AS to Crocus FZE in the amount of \$4,950 for a boat trailer 2005 NTTRL YIN L W95141 for the Formula. (FF# 86, ID at p.17);

On December 3, 2013, RFG issued invoice #1204AS to Crocus FZE in the amount of \$4,950 for boat trailer 2005 NTTRL YIN LW95141, \$12,000 for loading/shipping the Formula to Dubai, \$500 for commission, and \$500 for documentation, a total of \$17,950. (FF# 87, ID at p.17);

On December 4, 2013, Crocus FZE wired \$4,950 to RFG to pay for boat trailer 2005 NTTRL VIN LW95141. (FF# 89, ID at p.17);

Safonov decided that he did not want to deal with "crooks," so in February 2014 Complainants instructed Solovyev to ship the Formula to Miami. (FF# 91, ID at p.17);

On February 14, 2014, Safonov sent an email to Solovyev stating: "I am sending you the name of the company in Florida from which you have received the money for Formula-34 - please prepare all documents for the boat reflecting this company's information and send me all copies, ok? Do you know if copies of the documents will be enough to transfer Formula to Florida? It is good that we did [not] have time to send it to Dubai." (FF# 92, ID at p.18);

On August 13, 2014, Solovyev sent Safonov an email stating:

Alexander, your attention to unpaid invoices for your boats!
[Unfortunately] because of non-payment, we are not able to hold your boats anymore in our storage facility and have to cover all expenses of their storage, not later than Monday, 18th of August of year 2014! Your boat Formula has been stored in our storage facility for more than a year? This will not work! Therefore,

immediately I request to cover all your expenses! If you need help delivering the boats to Miami, our prices are as follows: Monterey and Chaparral – for \$3,500 each! Boat Formula to Miami- \$17,000. (FF# 96, ID at p.18);

On August 13, 2014, Solovyev (RFG) sent an invoice to Crocus Investment for \$38,859.39 for 369 days of storage of the Formula. (FF# 97, ID at p.18);

On August 19, 2014, Safonov sent an email to Solovyev stating: "I am attaching copies of the documents for the boats that were shipped from [Dubai] by Middle East Asia Alfa to your company MTL. Based on the agreement between the partners Bortcov [*sic*] Oleg (manager) and Safonov Alexander- I have the last say in this company! In case of not meeting my lawful demands - I will be forced to go through the legal system of the USA." (FF# 99, ID at p.19);

Solovyev shipped two automobiles – Mercedes and a Porsche – to Middle East Asia for sale in Dubai for another customer. (RX 62 (Dep. Of Safonov 22-23).) (FF# 101, ID at p.19);

MTL' s tariff states: "Carrier provides 30 calendar days free storage prior for vehicles, trucks and boats received for US export shipment at its CFS/CY as listed herein. Beyond 30 days, storage charges per day apply as follows: A. STORAGE CHARGES AT BAYONNE, NJ... Boats: USD 20 per day." (FF# 103, ID at p.19);

ADDITIONAL PROPOSED FINDINGS OF FACT

1. Solovyev/MTL through Royal Finance Group Inc. issued invoices for shipping to Complainants. (RX 41 (Dep. of Aleksandr Solovyev 54:19-55:10); Closing Argument Transcript 37-39).
2. MTL charged a commission for arranging the shipping of complainants' cargo with the ocean liner. Solovyev testified that he did not know how much commission was charged (See, Deposition of Aleksandr Solovyev contained within Respondents' Appendix filed in this matter on February 11, 2016, Document No.: 15, at page bates numbered RX41, transcript p. 54/ln. 4-18).
3. Vadim Alper a/k/a Dimitry Alper worked at MTL between 2009 through April of 2015 and served in the roles of General Counsel and Director of Operations. (See, Transcript of Deposition of Vadim Alper a/k/a Dimitry Alper of January 31, 2018, Annexed as Appendix "A" to Appendix To Complainants' Status Report filed on November 1, 2018 in this Docket at p. 13/ln. 6-12).
4. Raya Bakhirev worked for MTL as its General Manager, Bookkeeper and Documentation Person during the relevant time period of the events alleged in the Complaint (See, FMC

Docket No.: 16-16, Document # 45, Complainants' Status Report at Appendix "B" at p. 18/ln. 22-25; p. 19/ln. 2-8; and Appendix "A" at p. 64/ln. 11-20).¹⁵

5. MTL's General Manager and Bookkeeper Raya Bakhirev, explains that MTL accepts automobiles into its possession, custody, and control solely for purposes of export, and never for storage only. (See, FMC Docket No.: 16-16, Document # 45, Complainants' Status Report at Appendix "A" at p. 137/ln. 20-22).¹⁶
6. Raya Bakhirev is the President of World Express and respondent Solovyev was not an owner of World Express in 2015. (See, Appendix "K" to Appendix To Complainants' Status Report filed on November 1, 2018 in this Docket at p. 24/ln. 11-22; p. 94/ln. 14-25; pp. 95-96).
7. The Title Page of WEC's published tariff states that it is located at 63 Hook Road, Bayonne, New Jersey, with fax number 201-858-8607. (See, Complainants' Additional Proposed Finding of Fact and Brief at Appendix "18", filed as Document No.: 39 on this Docket, filed on October 28, 2016).
8. WEC only accepted cars from customers for shipment and did not accept cars for storage if a customer did not intend to ship the cars:

Q. So let's say I wanted to store my car, and I'm not shipping it, what is my rate?

A. We will not take your car for storage.

(See, Appendix To Complainants' Status Report filed on November 1, 2018 in this Docket, at Appendix "J" at p. 137/ln. 21-22).

9. From 2010 to the present time, respondent, Solovyev was never a President of World Express, nor were there any corporate resolutions appointing him as an officer of the company. (See, Appendix To Complainants' Status Report filed on November 1, 2018 in this Docket, at Appendix "K" at p. 128/ln. 12-17; p. 129/ln. 18-21; p. 138/ln. 1-5).
10. Respondent Solovyev is not an officer of World Express. (See, Appendix To Complainants' Status Report filed on November 1, 2018 in this Docket, at Appendix "K" at p. 98/ln. 6-14).

¹⁵ This information was not previously admitted into the record because it arises out of a deposition that was taken after the record in this matter was closed in the ongoing litigation in World Express, *supra*, and is relevant in that Bakhirev's testimony conflicts with Solovyev's prior testimony that he had been the sole owner and President of WEC. The relevant pages from the Bakhirev deposition transcripts are annexed hereto as Appendix "I".

¹⁶ See, Footnote 15.

11. Solovyev did not receive any shares of World Express (after its transfer to Bakhirev). (See, Appendix To Complainants' Status Report filed on November 1, 2018 in this Docket, at Appendix "K" at p. 131/ln. 7-11).
12. As set forth in a Minutes of Directors Meeting of WEC, dated March 21, 2016, Alla Solovyeva serves as the Corporate Secretary of WEC. The meeting minutes bear the fax header information of MTL. (See, Complainants' Additional Proposed Finding of Fact and Brief at Appendix "23", Document No.: 39 filed on this Docket on October 28, 2016).
13. A criminal investigation was conducted prior to Solovyev's conviction for criminal activity in New Jersey. Annexed as Appendix "C" to Complainants' Status Report filed on November 1, 2018 in this Docket is a Cover Letter from the Union County Prosecutor's office, as well as specific pages from their file regarding the investigation of Solovyev, which was received on or about June 7, 2018 in response to a subpoena for documents in the matter of World Express, *supra*. The Presiding Officer is respectfully referred to bates numbered page DEF0843 where the investigating officer/detective explains that "Additional checks also revealed that SOLOVYEV is listed as the owner for Marine Transport Logistics (MTL) and his wife ALLA SOLOVYEVA is listed as the company chairman."
14. Per the affidavit of Vadim Alper, Alex and Alla Solovyeva are the owners of MTL. (See, Complainants' Additional Proposed Finding of Fact and Brief at Appendix "9" at ¶ 4, Document # 39, filed on this Docket on October 28, 2016).
15. Complainants herein did not know of the existence of WEC, and that WEC operated "with MTL only". (See, Appendix To Complainants' Status Report filed on November 1, 2018 in this Docket at Appendix "K" at p. 118/ln. 21-23).
16. Mr. Alper testified in his deposition (in addition previously having testified that he was the Director of Operations and General Counsel of MTL during the relevant time period) that "...the whole yard was MTL's yard...". (See, Appendix To Complainants' Status Report filed on November 1, 2018 in this Docket at Appendix "A" at p. 16/ln. 13-14).
17. Different commodities have to be specified on the Shipper's Export Declaration filed electronically with the U.S. Department of Commerce prior to export because "Different commodities go at different rates". (See, Appendix To Complainants' Status Report filed on November 1, 2018 in this Docket at Appendix "A", p. 35/ln. 17-22)
18. The parties' regular course of conduct shows that complainants engaged **respondents** to perform OTI services for complainants, conditioned on complainants' purchase of the Formula in the United States for the sole purpose of MTL **shipping the boat to Dubai for repair and resale**; (See, ID at pp. 12, 16, FF# 28, 29, 75).
19. On June 11, 2018, MTL supplemented its responses to various interrogatories served upon it in the matter of World Express, *supra*. (See, Appendix To Complainants' Status

Report filed in this matter on November 1, 2018 at Appendix “B”). With regard to MTL’s supplemental response, the Presiding Officer is respectfully referred to paragraphs “17” and “18” (on pages “3” and “4” of the response) wherein MTL admits that Solovyev signed the Vessel Bills of Sale for the sale of the boats sold by MTL to complainants that are at issue in this matter (and shipped by MTL) and that he is indeed listed as having signed them as “General Manager” of MTL.

20. It has been established that MTL did not only provide NVOCC services, but it was additionally in the business of selling automobiles and pleasure boats for the purpose of its clients engaging MTL to export said cargo after it was procured by MTL and delivered to its warehouse for export. (See, The Vessel Bills of Sale for the Chaparral and Monterey boats, as well as for the Four Winds boat (listed on the bill of sale as “Four Winds” which the Commission determined to be a “Four Winns” in its March 6, 2017 Memorandum Opinion and Order at p. 9) and Sea Ray boats purchased by complainants from MTL and Solovyev (bates numbered DEF0362 – DEF0365) were marked as Exhibit “14” during Alper’s deposition, annexed as Appendix “D” to Appendix To Complainants’ Status Report filed on November 1, 2018).
21. Alper authenticated the Vessel Bills of Sale for the Chaparral and Monterey boats and acknowledged that the bills of sale (which list MTL as “seller” and Solovyev as “General Manager” of MTL) were signed by Solovyev as “General Manager” and were notarized by Alper. (See, Appendix To Complainants’ Status Report filed on November 1, 2018 at Appendix “A”, p. 91/ln. 22-24; p. 92/ln. 1-19; p. 93/ln. 14-21).
22. The Vessel Bills of sale were authenticated by Mr. Alper and that they continued to list MTL as seller of the vessels as testified to by Mr. Alper:

Q. And who's the seller of these?

A. The seller was Marine Transport Logistics.

(See, Appendix To Complainants’ Status Report filed on November 1, 2018 at Appendix “A”, p. 92/ln. 17-19).

23. Respondents also admit in their Answer to the Complaint herein that after MTL sold the 2010 Formula to complainants that respondents had the Formula delivered to WEC’s warehouse to “....await further instructions and payment from Middle East Asia, which were never received, for its ocean shipment from Port Newark to Jebel Ali or any other foreign destination, pursuant to a MTL NVOCC House Bill of Lading” (See, Answer filed on July 10, 2015, FMC Docket 15-04, Document No.: 5 at ¶ 16);
24. As part of the parties’ regular course of business, MTL regularly provided to complainants an MTL House Bill of Lading which contained specific language regarding payment to MTL for Ocean Freight. (See, ID at p. 14, FF# 48) (see also footnote “5” above) and which states as follows: ***“Payment must be recovered no later than 2 weeks***

after sailing date. Past due Invoices are subject to mandatory Late Fee (\$50) and Documentation Fee”.

25. That during the time period relevant to the events in this action, MTL exported a Mercedes and Porsche to a warehouse in Dubai controlled by complainants (See, ID at p. 19, FF# 101), and which contains the same language as set forth above regarding payment for ocean freight. (See, footnote “5” above).
26. As set forth below, MTL retained \$15,207 of complainants’ monies in escrow to be applied towards future payments of ocean freight. Additionally, MTL’s tariff, (which was included in the record in this matter and bates numbered as CX184-CX185 and RESP 097- RESP 098), makes it is *clear* that the terms of payment of freight charges to MTL were either “Prepaid Freight” or “Freight Collect” as explained below:

“D. PREPAID FREIGHT

When freight monies and charges are prepaid, such payment shall be made not later than the time of release of any original Ocean Bill of Lading by the carrier to the shipper or his duly authorized licensed Freight Forwarder or Agent acting in his behalf.

When freight and charges are billed prepaid they shall be paid in U.S. dollars.

E. FREIGHT COLLECT

All freight and charges which are billed on a freight collect basis must be paid in full in U.S. Dollars, or in a currency acceptable to the carrier provided such currency shall be unblocked, freely convertible and freely remittable free of tax into U.S . Dollars, for the complete originally issued Bill of Lading quantity prior to release of cargo or any portion thereof.”

27. Complainants were charged \$12,000.00 for loading/shipping the Formula to Dubai (See, ID at p. 16, FF# 79).
28. As the parties regular course of conduct included MTL charging commissions for arranging for the shipment of complainants’ other boats, the sum of \$12,000.00 included monies for a commission which MTL charged for arranging for the shipment of complainants’ cargo with the ocean liner. Solovyev testified that he did not know how much commission was charged. (See, Deposition of Aleksandr Solovyev contained within Respondents’ Appendix filed in this matter on February 11, 2016, Document No.: 15, at page bates numbered RX41, transcript p. 54/ln. 4-18).
29. “Solovyev through RFG forwarded payments he had collected from Complainants for MTL’s shipping services to MTL. (See, ID at p. 13, FF# 37).

30. Respondents admitted that Solovyev through RFG forwarded payments he had collected from Complainants for MTL's shipping services regarding the two other boats (to wit: the Monterey and Chaparral) which were at issue in this matter. Specifically, as to the Monterey, the record demonstrates that RFG charged complainants the sum of \$2,400 for loading/shipping to Dubai (See, ID at p. 14, FF# 45) but MTL received the total sum of \$3,441.00 for this shipment (See Document # 51, Appendix "H"). During the course of these proceedings, RFG produced a copy of a check written to MTL in the sum of \$3,441.00 bearing notation "83038" which respondents explained in their Reply to Complainants' Second Petition to Reopen Proceedings, that: "...the RFG check is and was what it was represented to be: a payment made to MTL for ocean freight for the export of the Monterey Boat.(See Document 53 on this docket at p.11).
31. As the parties regular course of conduct included MTL charging commissions for arranging for the shipment of complainants' other boats, the sum of \$3,441.00 included monies for a commission which MTL charged for arranging for the shipment of complainants' cargo with the ocean liner. (See, Additional Proposed Finding of Fact #30 above).
32. As to the Chaparral, RFG charged complainants \$2,400 for loading/shipping to Dubai (See, ID at p. 14, FF# 52) but MTL admitted that RFG check no. 5111, in the amount of \$6,025.00 produced in this matter was payment applied to US to Dubai export of the Chaparral boat. (See, Document 53 on this Docket, at p.14).
33. As the parties regular course of conduct included MTL charging commissions for arranging for the shipment of complainants' other boats, the sum of \$6,025.00 included monies for a commission which MTL charged for arranging for the shipment of complainants' cargo with the ocean liner. (See, Additional Proposed Finding of Fact #32 above).
34. Complainants were charged for, and MTL arranged for inland transportation of the Formula from the auction warehouse where the Formula was purchased to the port of loading for the sum of \$3500.00 (See, ID. at pp. 16-17, FF# 77, 80).
35. Respondents practice of overbilling complainants with inflated invoices, as to the Formula, the record demonstrates that RFG paid Light House Transport the sum of \$2,230.00 via check number 5133 on August 14, 2013 (See, Appendix to Complainants' Second Petition to Reopen the Proceedings, Document 51 on this Docket filed on September 27, 2017, at Appendix "D", bates no. DEF0683).
36. "Complainant wire transferred \$5,000.00 to RFG, which reflected payment of \$4,500 for a trailer upon which the boat would be secured and a \$500 shipping documentation charge." (This was *admitted* by respondents in paragraph "18" of their Answer to the Complaint See, Complainant's Brief In Support Of Exceptions To Initial Decision as Appendix "2"). MTL also prepared shipping documentation at the time that the Formula was placed into respondents' custody and control for export, wherein respondents collected \$500 for preparation of "Shipping Documents" (See, Answer to the Complaint

herein at ¶ 19). See also, p. 14 herein at paragraph “6” and paragraph “41” in Appendix “C” and “D”). See also, footnote “8” herein.

37. MTL collected an additional \$4500.00 that respondents failed to apply to the \$12,000.00 that was due for loading and shipping the Formula to Dubai (See, Id. at ¶ 18).
38. MTL paid to WEC the sum of \$550.00 for unloading, as well as storage fees starting on August 12, 2013 and ending on February 14, 2014 (a period of 186 days) in the amount \$19,587.66 (See, p. 14 herein at paragraph “9”) See also, Respondents' Proposed Findings of Facts, and Response to Complainants' Proposed Findings of Fact, filed on this Docket on February 11, 2016, Document 13 at Response to Complainants Proposed Fact #31; see also, World Express & Connection, Inc.'s Second Amended Response to Interrogatories, dated November 24, 2017 at ¶ 17 (Annexed hereto as Appendix “E”). The invoices for 186 days of storage are relevant and new to this matter, see footnote “11” herein.
39. MTL paid to WEC the sum of \$14,322.16 for storage fees starting on February 15, 2014 and ending on June 30, 2014 (a period of 136 days) (See, WEC Invoice # 40761-1 dated 6/27/2014, bates numbered “RESP 013” in this record, which is annexed hereto as Appendix “F”; see also, Respondents' Proposed Findings of Facts, and Response to Complainants' Proposed Findings of Fact, filed on the Docket on February 11, 2016, Document 13 at Response to Complainants Proposed Fact #31; see also, World Express & Connection, Inc.'s Second Amended Response to Interrogatories, dated November 24, 2017 at ¶ 17 (Appendix “E”). Respondents also recently admitted to the foregoing in their Response to Complainants' Statement of Material Facts in litigation ongoing in the matter of World Express, supra, the admission is set forth in paragraph “41” in Appendix “C” and “D”. See, footnote “11” herein.
40. Paragraph “17” of WEC's Second Amended Response to Interrogatories states as follows: “Identify the person by first and last name that issued WEC invoices numbered 40761-1 and 50677-1 and state whether or not the invoices were paid. RESPONSE: WEC Invoices 40761-1 and 50677-1 were issued by Raya Bakhirev on information provided by Aleksandr Solovyev. The two invoices were paid by MTL. (See, footnote “11” herein).
41. For the first time on August 13, 2014, MTL sent Final invoice # 50677 to RFG for 369 days of storage of the Formula and for “unloading”. The total amount is \$39,409.39 and a copy of the invoice, bates numbered “RESP 019” in this record, is annexed hereto as Appendix “H”.
42. RFG paid MTL the sum of \$8,400 by check number 5135 on August 15, 2013 for loading and shipping the Formula to Dubai. The check for \$8,400.00 to MTL states in the Memo Line “Andrey/Dubai” (See, Appendix To Complainants' Additional Proposed Findings of Fact And Brief ; filed on this Docket on September 27, 2017 at Appendix “A”).
43. After having purchased the Formula on August 7, 2013 (FF# 74) and after having waited six months for respondents to ship the Formula, which they ultimately did not do,

Safonov decided that he did not want to deal with "crooks," and on February 14, 2014 Complainants instructed Solovyev to ship the Formula to Miami. (See, "Respondents' Appendix", Document 15 on this Docket, dated February 11, 2016; RX 72 ; Dep. of Alexander Safonov at p. 64/ln. 25, p. 65/ln. 1-8).

44. For the first time on August 13, 2014, respondents sent an invoice to Crocus Investments, LLC for \$38,859.39 for 369 days of storage of the Formula (CX 106). (See, ID at p. 18, FF# 97), plus the sum of \$550.00 for "unloading from the trailer". The total is \$ 39,409.39.
45. In litigation ongoing in World Express, supra, respondents produced an email communication that shows complainants' payments for freight and other charges for about ten boats and also shows that MTL was holding \$15,207 of complainants' monies in escrow to be applied towards the payment of Ocean Freight. (See, Complainant's Certification of Marcus A. Nussbaum at ¶8, filed on the Docket on April 30, 2019 as Document 71).
46. There exists no records indicating that the credit was applied by MTL to any future ocean freight allegedly due and owing by complainants.
47. In this proceeding, neither MTL nor Solovyev ever provided information regarding monies held by MTL in escrow (to wit: the email referenced above explaining "You have my credit of 15,207 US [look at the file]" to complainants or to the Commission.
48. On July 7, 2017, the helpdesk of the New York office of U.S. Customs and Border protection advised that: "Under 19 CFR 192.2, export validation requirements do not apply to watercraft, including jet skis and boats. The trailer however is considered a self-propelled vehicle and is subject to title validation at the CBP Car Desk" (See, Complainant's Certification of Marcus A. Nussbaum at ¶ 6 and Appendix "A" thereto, filed on the Docket on April 30, 2019 as Document 71).
49. Mr. Alper testified regarding: MTL's knowledge regarding the requirement that U.S. Customs officials must validate the Certificate of Title for a boat trailer prior to export (in the same manner that automobiles cannot be loaded onboard an ocean liner without having their Certificates of Title validated by U.S. Customs), explaining as follows: "...in order to ship a boat trailer or a boat on a trailer, a title is required due to the fact that U.S. Customs classifies boat trailers in the same manner as self-propelled vehicles. In the event that a boat on a trailer is being shipped, U.S. Customs would validate the title for the trailer." (See, Transcript of the Deposition of Dimitry Alper of January 31, 2018, discussed herein, in Appendix To Complainants' Status Report, filed on November 1, 2018 at Appendix "A" thereto, at transcript p. 22/ln. 12-25; p. 23/ln. 1-16).
50. Specifically, and as explained in the Complainants' Additional Proposed Findings of Fact Brief filed in this Docket as Document No.: 51 on September 27, 2017, at pp. 11-12, the New York State Department of Motor Vehicles ("DMV") Salvage Certificate for the Formula produced by respondents during discovery (marked as "RESP 027" in

Appendix “E” thereof) is fake and does not match with DMV records. (See also, Complainants' Second Petition to Reopen the Proceedings filed as Document # 50, on this Docket on September 27, 2017, at pp. 4, 17).

51. Said Salvage Certificate for the Formula referenced above lists Car Express as the purchaser and is signed by Solovyev, and also indicates that the Formula was acquired from VW Parts, Inc. The certificate is dated April 28, 2015. (See, Appendix “E” to Complainants’ Additional Proposed Findings of Fact Brief filed in this Docket as Document No.: 51 on September 27, 2017).
52. In the matter of World Express, *supra*, Car Express was served with a series of interrogatories, to which they responded on June 14, 2017. Said interrogatories inquired, *inter alia*, whether Car Express purchased the Formula from VW Parts Inc. on April 28, 2015. In response to this question, Car Express answered in the negative. (See, Appendix To Complainants’ Additional Proposed Findings of Fact and Brief, filed on September 27, 2017 at Appendix “F” at Interrogatory # 11).
53. With respect to the subject Formula (See, CX118 at ID p. 16, FF# 74) the Copart invoices produced by respondents during discovery herein and used by respondents during the shipping process are fake, and not part of Copart’s business records - - this was confirmed by Copart in response to a Subpoena issued to Copart in the matter of World Express, supra. (See, Complainants' Second Petition to Reopen the Proceedings filed as Document # 50, on this Docket on September 27, 2017, at p. 19, citing to Appendix to Complainants’ Status Report of September 6, 2017 in the Matter of MAVL Capital Inc., et al, v. Marine Transport Logistics, et al. FMC Docket No.: 16-16).
54. On the issue of respondents’ practice of overbilling complainants with inflated invoices, in ID the ALJ explains as to the invoice bates numbered CX118 (referenced in the ID p. 16, FF# 74) that “...Car Express purchased a 2010 Formula...for Safonov for a total of \$56,280.00”. The record, however, demonstrates that Car Express actually purchased the Formula for a total of \$53,685.00. See, Complainants' Second Petition to Reopen the Proceedings filed as Document # 50, on this Docket on September 27, 2017, at p. 18 (explaining that respondents’ production of fake invoices from the online auto action warehouse known as ‘Copart’ while respondents engaged in OTI activity is the subject of extensive briefing to the Commission, and citing to Complainants’ Status Report of September 6, 2017 in the matter of MAVL, supra, which can be found as Document # 32 in FMC Docket No.: 16-16). The Appendix to Complainants’ Status Report of September 6, 2017 in the matter of MAVL, supra, contains a true and accurate copy of the invoice for the sale of the Formula from the auto auction warehouse known as ‘Copart’, which has been bates numbered DEF0012.
55. Car Express never obtained a Certificate of Title for the Formula. (See, DMV Response to Freedom of Information Law Request, in Document # 50 on this Docket, filed on September 27, 2017 at Appendix “B”, at page Bates no.: DEF0499).
56. There is no record of respondents producing a Certificate of Title for the trailer for the Formula.

57. Annexed to the Appendix To Complainants' Status Report filed on 11/1/2018 as Appendix "H" is a copy of a Certification signed by Alla Solovyeva and Aleksandr Solovyev (with a cover email from their counsel on 9/21/2018) certifying that after a complete and thorough search, that no additional responsive documents exist, "other than what was already provided to date".
58. Respondents admit that they are not in possession of the Certificate of Title. (See, Appendix To Complainants' Status Report filed on November 1, 2018, at Appendix "B", at paragraph "12" on page "2".)
59. The VIN# LW95141 (set forth in RFG Invoice 1204 AS and relied upon by the ALJ in the Initial Decision in Finding of Fact #86, 87, and 89) for the boat trailer for the Formula is 'non-existent' pursuant to Federal Regulations that govern the requirements for VIN numbers. (See, Appendix To Complainants' Status Report, filed on November 1, 2018 at Exhibit "I") (which contains the Report of complainants Expert Witness from the matter of World Express, *supra*, and disclosed in that matter pursuant to Federal Rules of Evidence 702, 703, and 705, and Rule 26(a)(2) of the Federal Rules of Civil Procedure, explaining on pages 5-6 thereof that VIN number LW95141 is 'invalid' pursuant to Federal Regulations and that this trailer, as identified in Royal Finance Group Inc. Invoice # 1204 AS "could not exist based upon the VIN number which is listed in it (specifically VIN# LW95141 – 37 foot trailer, year 2005)").
60. The Expert Witness Report also explains that a search for VIN# LW95141 was attempted using the Carfax database, which resulted in a return message from Carfax explaining that "The VIN must be 17 characters". See, *Id.*
61. In the absence of any proof of ownership for the boat trailer for the Formula (for example, a Certificate of Title), this trailer with non-existent VIN number could not be exported outside of the United States under U.S. Customs regulations." (See, *Id.*).
62. While the Presiding Officer noted in FF# 84 in the ID that "[i]n December 2013, Solovyev found another trailer for the Formula that Safonov found acceptable (RX 72 (Dep. of Safonov 64:20-24)..." this finding of fact was based *solely* on complainants' deposition testimony, which explained that Solovyev **emailed** complainants **photos** of a trailer that complainants found "good or proper" and "suitable". Aside from complainants' deposition testimony regarding receipt of **photos** of the trailer, there is no evidence on the record, other than the invoice created by RFG for the alleged sale of the trailer, that supports finding that a trailer was *ever* purchased by Solovyev.
63. The record demonstrates that storage fees for the storage of the Formula were never demanded by Solovyev, MTL or WEC, nor were they ever an issue up until the time of Solovyev's email of August 13, 2014.
64. The record shows that at no time up until *after* the time of Complainants' filing of this action, did respondents ever take the novel position, which they do now for the first time, that the Formula was not exported due to alleged unpaid monies for loading and shipping the Formula to Dubai, or that respondents were awaiting "further instructions" to ship it.

The Commission's Recent Precedent In Samir Abusetta d/b/a Sammy's Auto Sales v. JAX Auto Shipping and Marine Transport Logistics et al. As Further Evidence of MTL's Conduct As An OTI With Regard To The Formula And It's Violation of § 41102(c) of the Shipping Act

It is respectfully submitted that on the issue of MTL having acted as an NVOCC with regard to the Formula, that the Presiding Officer need look no further than the analysis already set forth in the matter of Samir Abusetta d/b/a Sammy's Auto Sales v. JAX Auto Shipping and Marine Transport Logistics et al. (See, Order Reversing, In Part, Decision of the Settlement Officer and Issuing Reparations, dated October 18, 2016, FMC Informal Docket No.: 1932[I]), which arose from a transaction wherein vehicles tendered for shipment by the claimant were ultimately auctioned off by MTL and WEC.

While it was determined in that matter that it was JAX Auto Shipping ("JAX") (and not MTL) that had violated the Shipping Act, the facts of that case and legal analysis is nevertheless relevant in that the Presiding Officer simply need substitute MTL in place and instead of JAX as explained in detail below.

In Samir, *supra*, the Commission explained that in order to determine whether Jax violated § 41102(c) of the Shipping Act, the ALJ must analyze whether JAX acted as an OTI in connection with Claimant's shipment stating that: "As found by the SO, JAX arranged for the shipment of Claimant's cargo to Jordan through MTL."¹⁷ *Id.* As explained herein, in the matter at bar, the Presiding Officer explained in his findings of fact that respondent Solovyev (an "agent" of MTL) arranged shipment of cargo through MTL. As MTL had done in the case at bar, JAX also: "...issued a dock receipt, arranged for claimant's vehicles to be stored at WEC, and sent export documentation to MTL. Aff. of Alla Solovyeva, President of MTL. These are actions that OFFs typically perform." *Id.* at 6. On this basis, the Commission agreed with the Settlement

¹⁷ In support of this finding, the Commission referred to Attachment "A" to Complainants' Claim in Samir, *supra*, which was a Maersk Wyoming Arrival Notice dated November 24, 2010.

Officer's determination that JAX acted as an OFF in connection with claimant's shipment and therefore was an OTI. Id.

As to respondents' alleged violations of the Shipping Act in the matter at bar, to wit, their violation of § 41102(c) of the Shipping Act, claimant in Samir, *supra*, alleged (as does complainants herein allege with regard to MTL) that the failure of JAX and MTL to inform him about storage fees related to the storage of his automobile (and in this matter, the Subject Formula) at WEC's warehouse caused the loss of his vehicles. In the matter of Samir, *supra*, it was explained that there was no evidence that the claimant was aware of the storage charges allegedly accruing prior to claimant's receipt of an email from JAX on May 21, 2010. Id. Attached to that e-mail was the WEC Vehicle Inspection sheet which contained explicit language warning of daily storage fees. Id. Accordingly, the Settlement Officer properly concluded that JAX's failure to notify Claimant of the storage charges constituted a violation of § 41102(c). Id.

Similarly, in the matter at bar, complainants herein were not notified by MTL (via its agent Solovyev) that storage charges were allegedly accruing until 369 days had passed when MTL, for first time, notified complainants that storage charges were allegedly due and owing.

Accordingly, and pursuant to the matter of Samir, *supra*, the facts of the instant matter demonstrate that MTL acted as an OTI with regard to the subject Formula, and in the course of its activity, MTL violated the Shipping Act by knowingly failing to inform complainants as to the accrual of storage charges for the boat.

MTL Entered Into An Affreightment Agreement With The Complainants As To The Subject Formula

It is respectfully submitted that the question of whether or not complainants paid the \$12,000.00 for loading and shipping the Formula to Dubai is not dispositive of whether or not a contract of carriage existed.

In the first instance, the terms of MTL's HBOL's establish that payment of ocean freight for MTL's shipments was not required until 2 weeks after sailing. Also, as set forth above, the ALJ's findings of fact established the existence of a regular course of conduct between the parties where Solovyev, via his companies and in his capacity as agent for MTL, purchased boats at auction on behalf of complainants for the sole purpose of exporting said boats overseas via MTL, and that it was routine practice for MTL to issue HBOL's after cargo had sailed.

In this case, no MTL HBOL for the Formula was produced, however, the Presiding Officer may rely upon all other MTL HBOL's issued by MTL to complainants during their regular course of conduct (to wit: complainants purchasing boats, such as the Monterey and Chaparral from MTL via Solovyev for the sole purpose of exporting said boats overseas)¹⁸ to establish that the terms of payment for ocean freight for the export of the Formula was not contingent upon advance payment of ocean freight.

Rather, said payment was not required until 2 weeks after sailing. Accordingly, the payment of \$12,000 (or alleged lack thereof) is not dispositive of whether or not a contract of carriage existed. The Presiding Officer may also rely upon the unambiguous terms of MTL's tariff for payment of ocean freight. MTL's tariff dictated that the method of payment ocean freight is "Prepaid Freight" or "Freight Collect", neither of which obligated complainants to pay

¹⁸ We also direct the Presiding Officer to the MTL HBOL's for the other boats purchased by Solovyev/MTL on behalf of complainants and exported by MTL, as well as the MTL HBOL for the subject Mercedes and Porsche at issue herein.

\$12,000.00 to respondents prior to certain steps having been taken by respondents, which respondents failed to do in breach of the contract of carriage. While more applicable to the portion of this brief which discusses MTL's specific violations of §41102(c) of the Shipping act, suffice it to say that MTL simply kept all monies paid by complainants to MTL (as detailed herein) and failed to apply said monies to any charges in the sum of \$12,000.00 for loading and shipping the Formula to Dubai.

To the extent that respondents have alleged that the subject Formula could not be exported due to an alleged lack of the suitable trailer, it is additionally noted that complainants did pay respondents twice for the purchase of a boat trailer for the Formula, to wit: by wire of \$5000.00 (it reflected payment of \$4,500 for a trailer upon which the boat would be secured and a \$500 shipping documentation charge)^{19, 20} on August 13, 2013 and by wire of \$4950.00 on December 4, 2013, said monies were supposed to be credited towards the \$12,000.00 due and owing for ocean freight, that respondents retained without performing their contractual duties.

Further, it has been established that MTL held \$15,207 of complainants' monies in escrow to be applied towards the payment of Ocean Freight (see, Complainant's Certification of Marcus A. Nussbaum at ¶8, filed on the Docket on April 30, 2019 as Document 71).

Also, it has been established that RFG paid MTL \$8,400 (check number 5135) on August 15, 2013 for loading and shipping the Formula to Dubai, and the check was paid four (4) days after the Formula was unloaded in WEC's warehouse. The check for \$8,400.00 to MTL states in the Memo Line "Andrey/Dubai". (See, Appendix To Complainants' Additional Proposed Findings of Fact And Brief, filed on this Docket on September 27, 2017 at Appendix "A").

¹⁹ See, pp. 16 and 23 above.

²⁰ See, p. 23 above.

It is respectfully submitted that the findings of fact overwhelmingly demonstrate MTL's OTI activity with regard to transport of the Formula by water from the United States to a foreign port, and that in the course of doing so, the respondents violated the Shipping Act by after Solovyev allegedly undertook to purchase a boat trailer. When Solovev as agent to MTL charged complainants monies and arranged for inland transportation to the port of export, paid for inland freight charges, paid to WEC the monies for unloading, as well as storage fees, and retained complainants monies for the preparation of shipping documents, offered loading and shipping services to Dubia to complainant, as well as retention of partial payment for loading and shipping to Dubai (which was not even required to be made until certain steps were taken by respondents) and then failed to fulfill their contractual duties, respondents violated 46 U.S.C. § 41102(c). It was only *after* complainants realized that respondents were acting in bad faith, having decided that they were "crooks", that complainants decided to reroute the shipment of the Formula to Miami.

At this juncture it is also useful to note that the record demonstrates that storage fees were neither demanded by Solovyev, nor were they ever an issue up until the time of Solovyev's email of August 13, 2014 in response to complainants' February 14, 2014 request to send the Formula to Florida. Prior to that time, Solovyev was silent as to why the Formula was not exported sooner. After the time of complaints' filing of this action at the Commission, respondents took the novel position, for the first time that the Formula was not exported due to alleged unpaid monies for loading and shipping the Formula. It also stands to reason that if monies for loading and shipping had allegedly been due, that MTL's accounts receivable department would have (or should have) notified complainant as to this issue at the time it allegedly became an issue.

A final point with respect to the \$12,000.00, is on the issue of MTL's tariff, cited above in the Additional Proposed Findings of Fact, wherein the terms of payment of freight charges to MTL were either "Prepaid Freight" or "Freight Collect". The clear unequivocal terms of MTL's tariff state that complainants were obligated to pay the \$12,000 for "loading and shipping" either "prior to release of the cargo" under a Freight Collect contract, or "not later than the time of release of any original Ocean Bill of Lading by the carrier to the shipper or his duly authorized licensed Freight Forwarder or Agent acting in his behalf" under a Freight Prepaid contract. As such, any alleged absence of complainants' payment of the \$12,000.00 *proves nothing and means nothing*, and accordingly are not grounds for finding that a contract of carriage did not exist for ocean transport of the Formula.

MTL's Conduct Demonstrates Intent for it to Transport the Formula Overseas

In the first instance, while the Presiding Officer is already aware that respondents charged complainants \$500 for the preparation of "Shipping Documents" as admitted to by respondents in paragraph "18" of their Answer to the Complaint, what was not known at the time that the ID was issued (due to respondents having secreted this information) is that RFG paid MTL the sum of \$8,400 by check number 5135 on August 15, 2013 for loading and shipping the Formula to Dubai.²¹ A copy of this check (annexed to the Appendix To Complainants' Additional Proposed

²¹ The Presiding Officer is respectfully asked to note that RFG's payment of \$8,400 to MTL for loading and shipping the Formula to Dubai, was made only one day after RFG paid for the delivery of the Formula from the Copart auto auction site to MTL's facility at the port of New Jersey. Specifically, RFG paid Light House Transport the sum of \$2,230.00 via check number 5133 on August 14, 2013 (see Appendix To Complainants' Additional Proposed Findings Of Fact And Brief, Appendix "D", bates no. DEF0683). The Presiding Officer is also asked to note that while RFG paid Light House Transport the sum of \$2,230.00 for delivery, it invoiced complainants \$3,500 for the delivery. Additionally, four (4) days after the Formula was unloaded at WEC's warehouse (See WEC Invoice # 50677-1, dated 2/14/14, bates numbered "RESP 012" which was annexed as Appendix "C" to Complainant's Additional Proposed Findings of Fact and Brief and Appendix in Support of Complainants' Second Petition to Reopen the Proceedings filed on September 27, 2017 which can be found on this Docket as Document 51), the check of \$8,400 paid to MTL states in the Memo Line "Andrey/Dubai". (See, Appendix To Complainants' Additional Proposed Findings of Fact And Brief, filed on this Docket on September 27, 2017 at Appendix "A").

Findings of Fact and Brief, filed on September 27, 2017, at Appendix “A”) was produced in response to a subpoena issued to Citibank in the matter of World Express, *supra*.

The check indicates that monies were actually paid to respondent Marine Transport Logistic, Inc. (“MTL”) by RFG for the ocean transport of the Formula, and that MTL accepted said monies, thus establishing that it had indeed assumed responsibility for the ocean carriage of the boat (originally destined for Dubai, but never made it there due to respondents’ fraudulent activity after they had assumed possession, custody and control over the boat). The check was not part of the record in this matter when the Presiding Officer issued the Initial Decision due to respondents’ failure to produce it.

As set forth in in the ID, FF# 78 indicates that on August 7, 2013, RFG sent invoice 1189AT to Andrey Tretyakov,²² which listed a charge of \$12,000 for loading/shipping the Formula to Dubai. The check itself indicates that RFG paid MTL the sum of \$8,400 by check number 5135 on August 15, 2013 (see Appendix To Complainants’ Additional Proposed Findings of Fact And Brief, Appendix “A”) and that the Memo line on the check reads as follows: “Andrey/Dubai”²³. The disclosure of this check would have had a material impact on the Presiding Officer’s determination that no contract of carriage existed for the ocean transport of the Formula.

Additionally, when MTL received the Formula at its facility at the port of New Jersey, it did so in contemplation of export inasmuch as MTL paid WEC the sum of \$550.00 on February

²² Middle East Asia employed Andrey Tretyakov (Tretyakov) as an associate in Dubai. (RX 61) (Dep. Of Safonov 18:21-23); Resp. Comp. Prop. FF 2.) See, FF# 9.

²³ The notation in the Memo Line also corresponds with the designation set forth on RFG Invoice 1189AT for this shipment. The invoice is addressed to Andrey Tretyakov and the description of services in the invoice includes “LOADING/SHIPPING TO DUBAI”. See, FF# 78-79. The check for \$8,400.00 to MTL states in the Memo Line “Andrey/Dubai”. The invoice was issued for ocean transportation services offered by MTL, the offer was accepted, and consideration in the amount of \$8,400 was paid. - - This is further evidence of MTL’s knowledge of the existence of a contract of carriage.

18, 2014, for unloading, as well as storage fees starting on August 12, 2013 and ending on February 14, 2014 (a period of 186 days) in the amount \$19,587.66. Specifically, on February 15, 2014, WEC issued Invoice 50677-1 for the Formula to MTL (for storage fees starting on August 12, 2013 and ending on February 14, 2014 in the amount \$19,587.66 plus unloading in the amount \$550.00, for a total of 20,137.66 (See, Appendix To Complainants' Additional Proposed Findings of Fact and Brief, filed on September 27, 2017, at Appendix "C" at document bates numbered RESP 012). This invoice was paid by MTL on February 18, 2014 (Resp.Comp.Prop. FF 31), and after MTL was paid by RFG for the ocean freight for the export of the boat.

For the reasons set forth herein, the record now demonstrates that respondents took possession, custody, and control of the Formula for purposes of exporting it to Dubai due to the fact that WEC invoiced MTL for unloading and for storage of the Formula and that MTL paid said invoice *after* MTL received monies from RFG for the ocean freight related to the export of the boat. Specifically, on August 7, 2013 RFG invoiced the sum of \$12,000 for loading/shipping the Formula to Dubai by invoice 1189AT, as well as \$500 for the preparation of "Shipping Documents". Subsequent to the issuance of the invoice, RFG paid MTL the sum of \$8,400 by check number 5135, and that the Memo line on the check reads as follows: "Andrey/Dubai".

The Vessel Bills of Sale Are Relevant As Proof of The Parties Prior Course of Conduct, To Wit: That The Formula Was Sold By MTL For The Sole Purpose of Being Exported By It

As set forth in the findings of fact above, it was brought to the Commission's attention that during the course of litigation in the matter of World Express, *supra*, subsequent to the filing of Exceptions herein, that on January 31, 2018, the undersigned counsel for complainants herein took the deposition of a third-party defendant in that matter: Vadim Alper a/k/a Dimitry Alper who was the former General Counsel and Director of Operations of MTL, and that Mr. Alper

acted in those roles during the relevant time period where the events which resulted in the instant action are alleged to have occurred, during the course of his deposition, Mr. Alper gave testimony based upon his personal knowledge regarding respondents Aleksandr Solovyev a/k/a Royal Finance Group Inc.

Mr. Alper explained during his deposition that he personally notarized the Vessel Bills of Sale pursuant to which MTL sold the subject Monterey and Chaparral to complainants herein (signed by Solovyev in his capacity as “General Manager” of MTL). Mr. Alper gave testimony authenticating the Vessel Bills of Sale pursuant to which MTL, as Seller sold the Monterey and Chaparral to complainants (as well as other boats previously sold by MTL to complainants) for the sole purpose of exporting said boats abroad. The Vessel Bills of Sale established a regular course of business wherein it was MTL as Seller (and neither Solovyev nor Car Express) that sold the boats prior to export directly to complainants for the sole purpose of export abroad.

Mr. Alper testified that he notarized said Vessel Bills of Sale, the authenticity of which has been denied by respondents herein, and which were signed by respondent Solovyev on behalf of MTL in his capacity as “General Manager” of MTL (Mr. Solovyev was questioned about this document at a deposition and he testified that it was not even his signature on the document); (See, Document 27 - Transcript of Hearing of May 13, 2016, at p. 43). Now, after the record has been closed in this matter and after the filing of Exceptions to the Initial Decision and two Petitions to Reopen the Proceedings, Solovyev finally admitted that it was his signature on the Vessel Bills of Sale. Said Vessel Bills of Sale were included within the Appendix to complainants’ Exceptions and established that respondent, Solovyev represented himself to be “General Manager” of MTL which sold the boats to complainants.

Mr. Alper's testimony established that MTL did not only provide NVOCC services but it additionally sold the subject boats to complainants (including the Formula), for example: The Vessel Bill of Sale for the Chaparral which has now been authenticated by MTL was annexed as Appendix "4" to complainant's October 28, 2016 Petition to Reopen the Proceedings (Document 39) and provides the following information:

- Seller: Marine Transport Logistic
- Buyer: Middle East Asia Alfa, FZE
- Boat: 2008 Chaparral, VIN # FGBL3738D808
- Signature: Aleksandr Solovyev, dated 5/22/2013, in capacity of "General Manager"
- Notarized by: Notary Public Vadim Alper on May 23, 2013, stating that the Vessel Bill of Sale was acknowledged by Aleksandr Solovyev as General Manager of Marine Transport Logistic a State of New Jersey Corporation on behalf of the corporation.
- States as follows: "I(we)²⁴ do hereby sell to the buyer(s) named above rights and interest in the vessel...".
- The Vessel Bill of Sale for the Monterey which has now been authenticated by MTL was annexed as Appendix "5" to complainant's October 28, 2016 Petition to Reopen the Proceedings (Document 39) and provides the following information:
 - Seller: Marine Transport Logistic
 - Buyer: Middle East Asia Alfa, FZE
 - Boat: 2011 Monterey, VIN # RGFMC1931011
 - Signature: Aleksandr Solovyev, dated 4/30/2013, in capacity of "General Manager"
 - Notarized by: Notary Public Vadim Alper on April 30, 2013, stating that the Vessel Bill of Sale was acknowledged by Aleksandr Solovyev as General Manager of Marine Transport Logistic a State of New Jersey Corporation on behalf of the corporation.
 - States as follows: "I(we)²⁵ do hereby sell to the buyer(s) named above rights and interest in the vessel...".

²⁴ In order to avoid confusion, it should be noted that the "I(we)" designation in the Vessel Bills of Sale are understood to be a reference to MTL and Soloveyv in his capacity as "General Manager" of MTL.

²⁵ See footnote "24".

As to the January 31, 2018 deposition of Mr. Alper, Specific sections of Mr. Alper's deposition testimony explain that:

- Mr. Alper worked at MTL between 2009 through April of 2015 and served in the roles of General Counsel and Director of Operations. (See, Transcript of Deposition of Vadim Alper a/k/a Dimitry Alper of January 31, 2018, in Appendix To Complainants' Status Report filed on November 1, 2018, Appendix "A", p. 13/ln. 6-12).
- Alper authenticated the Vessel Bills of Sale for the Chaparral and Monterey boats and acknowledged that the bills of sale (which list MTL as "seller" and Solovyev as "General Manager" of MTL) were signed by Solovyev as "General Manager" and were notarized by Alper. (See, Appendix To Complainants' Status Report filed on November 1, 2018, Appendix "A", p. 91/ln. 22-24; p. 92/ln. 1-19; p. 93/ln. 14-21)²⁶.

Additionally, on June 11, 2018, MTL supplemented its responses to various interrogatories served upon it in the matter of World Express, *supra*. (See, Appendix To Complainants' Status Report filed on November 1, 2018, Appendix "B"). With regard to MTL's supplemental response, the Presiding Officer is respectfully referred to paragraphs "17" and "18" (on pages "3" and "4" respectfully) wherein MTL admits that Solovyev signed the Vessel Bills of Sale and that he is indeed listed as having signed them as "General Manager" of MTL. The Presiding Officer is respectfully asked to note that MTL previously refused to respond to these interrogatories and has only recent done so recently pursuant to an Order of the Magistrate Judge in World Express, *supra*.

Also annexed to Complainants' Status Report filed on November 1, 2018, Appendix "C" is a Cover Letter from the Union County Prosecutor's office, as well as specific pages from their file regarding a criminal investigation of respondent Solovyev, which was received on or about

²⁶ The Vessel Bills of Sale for the Chaparral and Monterey boats, as well as for the Four Winds boat (listed on the bill of sale as "Four Winds" which the Commission determined to be a "Four Winns" in its March 6, 2017 Memorandum Opinion and Order at p. 9) and Sea Ray boats purchased by complainants from MTL and Solovyev (bates numbered DEF0362 – DEF0365) were marked as Exhibit "14" during Alper's deposition, (See, Appendix To Complainants' Status Report filed on November 1, 2018, at Appendix "D").

June 7, 2018 in response to a subpoena for documents in the matter of World Express, *supra*.²⁷

The Presiding Officer is respectfully referred to bates numbered page DEF0843. As set forth therein, the investigating officer/detective explains that “Additional checks also revealed that SOLOVYEV is listed as the owner for Marine Transport Logistics (MTL) and his wife Alla SOLOVYEVA is listed as the company chairman.”

The Vessel Bills of sale were authenticated by Mr. Alper and that they continued to list MTL as seller of the vessels as testified to by Mr. Alper:

Q. And who's the seller of these?

A. The seller was Marine Transport Logistics.

(See, Complainants' Status Report filed on November 1, 2018, Appendix “A”, p. 92/ln. 17-19).

The Fact That the Formula Was Temporarily Placed Into Storage by Complainants Does Not Change the Character of the Shipment - - The Formula Was Destined For Export

It is well settled that that, in determining whether a particular movement of freight is interstate or intrastate or foreign commerce, the intention existing at the time the movement starts governs and fixes the character of the shipment. See, State of Texas v. Anderson, Clayton & Co., 92 F.2d 104 (5th Cir. 1937); (shipper intended cotton for export when cotton sent from Rochester, Texas to Houston; thus not an intrastate shipment). Temporary stoppage within the state, made necessary in furtherance of the interstate carriage, does not change its character. Id. (shipper intended cotton for export when cotton sent from Rochester, Texas to Houston; thus not an intrastate shipment), cert. denied, 302 U.S. 747, 58 S. Ct. 265, 82 L. Ed. 578 (1937). See also, Swift Textiles, Inc. v. Watkins Motor Lines, Inc., 799 F.2d 697, 698 (11th Cir. 1986) (finding

²⁷ In order to avoid burdening the Commission with this voluminous document, specific pages were provided, however, the entire file shall be provided forthwith upon request of the Presiding Officer.

that “nature of a shipment” is determined by the “intention formed prior to shipment” pursuant to which the property is carried to a selected destination by a continuous or unified movement).

Against the backdrop of the foregoing case law and as explained herein, it is respectfully submitted that Solovyev’s actions with respect to the Formula were indeed a violation of the Shipping Act, and that the fact that the Formula was placed into storage temporarily pending export to Dubai, does not take away from the Commission’s jurisdiction over this particular shipment. It is also notable that that respondent, Solovyev did not charge the complainants any sales tax for the sale of the boat to complainants in light of the parties understanding and intent that the boat be exported to Dubai.^{28, 29}

MTL Arranged For Inland Transportation And Payed For Inland Freight Charges On Through Transportation Movements, Including Unloading And Storage With Regard To The Subject Formula

While complainants corresponded with respondent Solovyev, it was respondent MTL that made arrangements for inland transportation, unloading, storage, and sale of the subject boats (including the Formula) that complainants intended to resell overseas. (See, Vessel Bills of Sale, herein which have now been authenticated by MTL). By way of example and as detailed in the facts above, on February 14, 2014, WEC issued Invoice 50677-1 for the Formula to MTL (for storage fees starting on August 12, 2013 and ending on February 14, 2014 in the amount \$19,587.66 plus unloading in the amount \$550.00, for a total of 20,137.66. As set forth in the facts above, this invoice was paid by MTL on February 18, 2014.

²⁸ See, ID at p. 16, ¶¶ “76” and “79” where the Presiding Officer explains that RFG sent invoice 1189AT to complainants for the purchase of the Formula and that complainants were charged \$56,280 for the Formula, plus \$3,500 for delivery and \$12,000 for loading/shipping to Dubai.

²⁹See also, RFG invoice 1189AT annexed to Complainants Proposed Findings of Fact, Brief, and Appendix, dated January 15, 2016 at Appendix p. CX009.

MTL Collection and Retention In Escrow of Freight Monies From Complainants With Regard To The Subject Formula

With respect to the Formula, the ID relies upon the deposition testimony of Solovyev, and explains, starting on page “12” that Solovyev through RFG forwarded advanced payments on behalf of complainants to ‘CoPart’ (a U.S. auction site), and to other companies (e.g. MTL, Car Express, inland trucking companies). This was allegedly done as a convenience to complainants so that complainants would only need to make a single "lump sum" wire-transfer payment to RFG and, accordingly, could avoid paying the fees associated with sending multiple wire transfers. In this way, Complainants would also avoid incurring penalties for late payment to the auction site, which could occur if there are delays with the foreign wire transfers. (ID at p. 12, citing Dep. Tr. of [Aleksandr] Solovyev, at 45-17- 47:25). RFG, in turn, charged a commission to Complainants for its services. Id.

As explained below, MTL’s retention of \$15,207.00 monies in escrow for ocean freight is further instructive on the issue of MTL’s OTI activity with regard to the subject Formula.

On August 14, 2018, in the matter of World Express, *supra*, plaintiff World Express & Connection, Inc. and third-party defendants MTL, RFG, Car Express, Solovyev, Alla Solovyeva, Raya Bakhirev, and Roman Chernin produced a “supplemental response to Court’s Order, dated May 21, 2018 regarding discovery disputes and the July 30, 2018 telephone conference.”

That document is annexed to the Certification of Marcus A. Nussbaum (Document 71 on this docket, Appendix “B” thereof). Paragraph “3” of the supplemental response states as follows:

Attached as pages 7-9, is an email that could be relevant as the attachment to such appears to reference some of the subject boats.³⁰

The Nussbaum Certification explains that page “7” of the supplemental response is an email in Russian, dated May 29, 2013 from Tango333@rambler.ru. A translation of the email, which the undersigned counsel personally translated, along with a copy of the original email is annexed to the Nussbaum certification as Exhibit “C”. The email provides as follows:

“Hello. In the original invoice, the price for the boats is 28,192 US but you wrote to me 29,192 US – you probably made a mistake. You have my credit of 15,207 US (look at the file). Where are the documents regarding the Regal, I only have a copy of the dock receipt and invoice, is this enough?”

The Nussbaum Certification additionally explains that page “7” of the supplemental response also has a photo of a Microsoft Word document icon, with Russian text underneath it which reads: “Completed purchases.doc”. Further, on pages “8” and “9” of the supplemental response are two spreadsheets containing Russian text which the undersigned counsel personally translated, which are also annexed to the Nussbaum certification as Exhibit “C”.

³⁰ As explained above, in the matter of World Express, *supra*, discovery has long since been closed. To the extent that respondents herein could have, prior to close of discovery in that matter, provided admissible evidence regarding an explanation as to how the credit of \$15,207 could have arguably been applied to other charges they did not. That time has passed, and no such information exists. Accordingly, the doctrine of Judicial Estoppel would prevent them from proffering any explanation now as to how said monies were applied elsewhere. See, e.g., Jackson v. WellSpan Health, No. 1:13-CV-1349, 2014 WL 414251, at *1 (M.D. Pa. Feb. 4, 2014) (the doctrine of judicial estoppel is premised on the concept of culpable inconsistency, the idea that parties should not be able to materially shift their positions in litigation in an expedient fashion that favors tactical advantage over the truth. In order to promote consistent candor in litigation, judicial estoppel permits courts to sanction parties who adopt irreconcilably inconsistent positions in litigation by precluding them from pursuing claims that are wholly inconsistent with the positions they have previously taken in some other lawsuit).

The Nussbaum Certification also explains that page “8” of the supplemental response, there is text in Russian^{31, 32} which the undersigned counsel personally translated, and which states as follows:

1	3/28/2013	INVOICE # 1148AT	2005 BAYLINER TROPHY 2002	\$10,530	SERGEY	PAID
2	3/28/2013	INVOICE # 1149AT	2004 MAXUM BOAT 1905	\$9,655	SERGEY	PAID
3	4/17/2013	INVOICE # 1164AT	2004 BAYLINER 1905	\$8,470	SERGEY	PAID
4	5/7/2013	INVOICE # 1177AT	2006 CHAPPAREL 190	\$15,455	SERGEY	PAID
5						
6						
7	4/4/2013	INVOICE # 1154AT	2006 SEA REY 270	\$12,855	ALEXANDER	PAID
8	4/18/2013	INVOICE # 1167AT	2002 CHAPPAREL 225 SSI	\$10,805	ALEXANDER	PAID
9	4/18/2013	INVOICE # 1168AT	2011 MONTEREY 210	\$14,855	ALEXANDER	PAID
10	4/18/2013	INVOICE # 1165AT	2005 REGAL 2865	\$37,845	ALEXANDER	PAID
11	4/16/2013	INVOICE # 1158AT	2013 MERSEDES GL 450 4 MT	\$65,083	ALEXANDER	PAID
12	4/22/2013	INVOICE # 1175AT	2005 FORD F 2500	\$7,500	ALEXANDER	PAID
13	4/24/2013	INVOICE # 1174AT	2007 FOUR WINNS 224 SSI	\$17,805	ALEXANDER	PAID

³¹ To the extent that the aforementioned spreadsheet makes reference to a “Sergey”, we note for the Presiding Officer’s reference that page “13” of the ID, at FF no.: 38 explains as follows: “Safonov or a Middle East Asia associate “Sergey” had final decision-making authority about which boats to buy. (RX 63 (Dep. of Safonov 29: 1-12).)” Copies of the wires for payments from Sergey (including a wire transfer on amount of \$15,455 for Invoice # 1177AT) which were transferred to the bank account of respondents for lines 1 through 4 of the aforementioned spreadsheet can be provided upon request.

³² The Presiding Officer is respectfully asked to note that lines 7 through 13 of the aforementioned spreadsheet add up to \$166,748 which does not coincide with the sum of \$165,348 on the following spreadsheet (on the next page) next to the line which reads “Total Amount Purchased”. The undersigned cross referenced the invoices identified in lines 7 through 13 and it was ascertained that line 13 (to wit: INVOICE # 1174AT) for the sum of \$17,805 may have been entered in error. See, Document 70 on this Docket -- Complainants’ Status Report at Appendix “B” thereof, which contains a copy of INVOICE # 1174AT which was produced in the matter of World Express, *supra*, which indicates that this invoice was for the sum of \$16,405. If the sum of \$16,405 is substituted in place of the sum of \$17,805, then these invoices in lines 7 through 13 properly add up to the sum of \$165,348.

The Nussbaum Certification further explains that page “9” of the supplemental response contains text in Russian³³, which the undersigned counsel personally translated and which states as follows:

ALEXANDER TRANSFER MONEY			
AMOUNT ALREADY TRANSFERRED	50 555 US		
AMOUNT ALREADY TRANSFERRED	65 000 US		
AMOUNT ALREADY TRANSFERRED	35 000 US		
AMOUNT ALREADY TRANSFERRED	30 000 US		
TOTAL AMOUNT TRANSFERRED	180 555 US		
TOTAL AMOUNT PURCHASED	165 348 US		
CREDIT REMAINING	15 207 US		
BALANCE MTL	15 207 US		

The foregoing is being brought to the Presiding Officer’s attention due to the fact that this information is new, material, and relevant to the issue of MTL’s OTI activity with regard to the Formula, in that as explained herein: (1) complainants ***never previously had access*** to the email from Andrey Tretiyakov of May 29, 2013 (until August 14, 2018, in discovery in the matter of World Express, *supra*) and which indicates that respondents received wires in payment for the subject boats; (2) the email contained an attachment entitled “Completed purchases.doc”; (3) the email explained that “You have my credit of 15,207 US (look at the file)”; (4) that MTL maintained a credit as of May 29, 2013 (due to overpayment by complainants) in the sum of

³³ To the extent that the aforementioned spreadsheet makes reference to a “Alexander”, we note for the Presiding Officer that “Alexander” is a reference to the owner of complainants herein, Alexander Safonov inasmuch as respondents’ bank records (copies of which will be provided upon request by the Commission) indicate that the sums transferred, to wit: \$50,555, \$65,000, \$35,000, and \$30,000 were transferred by complainants to the bank account of respondents herein.

\$15,207 US; (5) the credit should have been applied by MTL to any future ocean freight allegedly due and owing by complainants; (6) there exists no records indicating that the credit was applied by MTL to any future ocean freight allegedly due and owing by complainants; and (7) in this proceeding, MTL or Solovyev never provided this information (to wit: the email explaining “You have my credit of 15,207 US (look at the file)” to complainants or to the Commission.

II. WHILE ACTING AS AN OTI, RESPONDENTS VIOLATED 46 U.S.C. § 41102(C) WITH RESPECT TO STORAGE OR OTHER ARRANGEMENTS FOR THE FORMULA BOAT BETWEEN AUGUST 2013 THROUGH FEBRUARY 14, 2014

At this juncture, and in addition to Samir, *supra*, it is also relevant to revisit the Commission’s holdings already set forth in the matter of Best Way USA, Inc. v. Marine Transport Logistics, (See, Decision, dated January 24, 2012, FMC Informal Docket No.: 1901[I]) wherein MTL was previously found to have violated the Shipping Act, in the context of facts significantly similar to those set forth herein. As explained in Best Way, *supra*, the Commission has found a violation of section 10(d)(1) when a NVOCC refuses to deliver cargo based on a unlawful demand for more money.³⁴ As in Best Way, *supra*, the facts in this case support a similar determination. Respondents herein held claimant's cargo based on unlawful charges for storage. Furthermore, respondents and/or their agent failed to complete some of their duties to secure delivery of claimants’ property (such as finding a suitable trailer so that the Formula boat could be exported).

³⁴ See, Best Way, *supra*, at 4 (citing Bernard & Weldcraft Welding Equipment v. Supertrans Int’l, Inc., 29 S.R.R. 1348, 354-55 [I.D. 2002] [which refers to Tractors and Farm Equipment. Ltd. v. Cosmos Shipping Co., Inc., 26 S.R.R. 788 (1992)]; Total Fitness Equipment, Inc. v. Worldlink Logistics, Inc., 28 S.R.R. 45 [I.D.], *adopted*, 28 S.R.R. 534 [FMC 1998], *affirmed sub nom*; World Link Logistics, Inc. v. Federal Maritime Commission, 203 F.3d 54 [D.C. Cir. 1999]; and William J. Brewer v. Saeid B. Maralan, 28 S.R.R. 1331 [I.D. 2000], *affirmed in relevant part*, 29 S.R.R. 6, 10 [FMC 2001]).

As in Best Way, *supra*, respondents state that they granted claimants thirty free days of storage for the Formula at origin, however, as in Best Way, *supra*, and as established above, the documents submitted do not contain any language regarding storage. Respondents have also failed to file a specific rate in its tariff for this shipment, and its tariff rules provided no reference to storage charges, making the assessment for storage unlawful.³⁵

On or about August 12, 2013, the Formula was unloaded by MTL in WEC's warehouse facility in preparation for export while Solovyev allegedly undertook to find a suitable trailer, which he never procured as set forth herein. According to respondents' version of the facts, the Formula was sitting in storage while respondents were allegedly awaiting shipping instructions from complainants, which they allege to have never received. As explained below, and in the context of the Commission's holdings in Best Way, *supra*, both complainants' and respondents' versions of the facts with regard to the Formula are damning for MTL.

Respondents have, in the regular course of business, generated documents such as dock receipts, warehouse receipts, or other documents memorializing the receipt of cargo for storage pending export (for example, the WEC Warehouse Receipt for the Mercedes and Porsche which respondents exported to Dubai) and which indicate the daily accumulation of storage charges. In the matter at bar, and which similarly occurred in Best Way, *supra*, respondents have not produced a dock receipt, warehouse receipt, or other document regarding storage of the Formula and charges related to such storage which were generated at the time that the boat was placed into storage. (*Id.* at pp. 5-6) Respondents have also abjectly failed to come forward with any correspondence between the parties which would indicate that MTL was awaiting "shipping

³⁵ See, Graniteville Company v. Scarade Lines, Inf. Dkt. No. 1647(1), 25 S.R.R. 1330, 1331 (1991) (explaining untariffed charges should be actual costs paid by the NVOCC for the benefit of the shipper, otherwise those charges constitute the shipper's actual injury, and are suitable subjects for reparation).

instructions” – no emails, no letters, and nothing to indicate that storage charges would accrue absent receipt of shipping instructions.

As explained in *Best Way*, *supra*, “[i]t is a familiar rule of evidence that a party having control of information bearing upon a disputed issue may be given the burden of bringing it forward and suffering an adverse inference from failure to do so.” (*Id.* at p. 5) (citing William R. Adair v. Penn Nordic Lines, 26 S.R.R. 11 [I.D. 1991]; Alabama Power Company v. F.P.C., 511 F.2d 383, 391 n. 14 [D.C. Cir. 1974]).

In this instance, and as was in Best Way, *supra*, respondents have control of the documents regarding storage of the Formula and charges related to such storage (which were generated at the time that the boat was placed into storage), and thus the burden of bringing forward information to indicate that storage charges were accumulating as they now allege. If respondents were allegedly awaiting “shipping instructions”, they would also have the burden of providing correspondence to complainants indicating that this was the case. Instead, respondents provided an email dated August 13, 2014, together with an invoice for \$38,859.39, indicating for the first time, that charges for 369 days of storage had allegedly accrued for the Formula.

As argued by respondents in Best Way, *supra*, respondent MTL now argues that the storage charges should have been paid before the Formula could have been exported to Dubai or released to complainants in the U.S. (*Id.* at p. 5), and respondents continue to remain silent on the issue of Solovyev’s failure to find a suitable trailer so that the Formula could be exported, despite having collected monies twice from complainants for payment for the trailer. Alternatively, they argue that the lack of shipping instructions resulted in a failure to export the boat.

Similar to the Settlement Officer's findings in Best Way, *supra*, the Presiding Officer may find here that respondents' argument, however, contradicts the language on the MTL house bills of lading for the other boats exported by MTL on behalf of complainants, which allowed for payment up to two (2) weeks after the date of sailing (*Id.* at pp. 5-6). Respondents sent complainants an email dated August 13, 2014, together with an invoice for \$38,859.39, indicating for the first time, that charges for 369 days of storage had allegedly accrued for the Formula. Respondents had plenty of time to notify complainant that they owed these storage charges or that they did not receive shipping instructions. Overall, there is no basis to give any merit to respondents' argument that storage charges had allegedly accrued while Solovyev purportedly undertook to find a trailer for export of the Formula sold to complainants by MTL for export to Dubai.

While respondents here purport to have paid monies to WEC for storage of the Formula (a shell company under the control of respondents), as was in Best Way, *supra*, respondents here have failed to offer any documentation to demonstrate that payment to WEC was a valid out-of-pocket expense for the benefit of the complainants.³⁶

Similar to the parties' relationship in Best Way, *supra*, respondent MTL (via Solovyev) assumed responsibility for transportation of complainants' other boats to the point of delivery (*Id.* at p. 6). Respondent MTL booked the delivery of the other boats on a port-to-port basis, and was responsible for inland transportation to the point of delivery. *Id.* Accordingly, it stands that any increases for the inland transportation of the Formula were the responsibility of Respondent,

³⁶ *Id.* at p. 6 (citing Graniteville, *supra*).

not Claimant, unless shipping documents or contracts provide otherwise. Id. No such documentation has been provided.³⁷

Respondents contend that they did not receive the ‘full payment’ of ocean freight so that the Formula could be exported. The emails submitted by respondents do not show that any requests for payment or for shipping instructions were made to the complainants prior to August 13, 2014, which was 369 days after the Formula had been placed into storage. Respondent's unreasonable practices included: *failing to perform necessary duties*. In Best Way, *supra*, MTL required one of the consignees to perform duties in Nizhnevartovsk to secure delivery of the cargo to the door, and the Commission explained that these were duties that should have been performed by Respondent and/or its destination agent. (*Id.* at pp. 7-8).

In the matter at bar, if MTL now purports to argue that it was awaiting shipping instructions in order to secure delivery of the Formula, then the duty to obtain those instructions in a timely manner and avoid the accrual of storage charges fell upon MTL and/or its agent Solovyev. The duty to obtain a suitable trailer for export of the Formula similarly fell upon MTL and/or its agent Solovyev.

As previously explained in Best Way, *supra*, respondent is a common carrier and "assumes responsibility" for the safe transportation of the cargo from the point of receipt to the point of destination. (*Id.* at p.8, citing 46 U.S.C. § 40102[6][A][ii]). The evidence establishes that a request for payment of storage charges was not made in a timely manner nor were any requests for shipping instructions made in a timely manner. The timing of the request for payment (and failure to request shipping instructions) unreasonably caused storage charges to be incurred for

³⁷ *Id.* at p. 6 (citing Geraldo Barbosa v. Uniworld Cargo, Inf. Dkt. 1853[I], 30 S.R.R. 604 [2005] (stating it is "a cardinal principle of interpretation that any ambiguity in the transaction, particularly in the documents involved, must be resolved against the carrier as the more experienced and knowledgeable participant and the drafter of all the documents."))

over 369 days. While respondent MTL may attempt to deflect or divert its liability to that of Solovyev or RFG, MTL is ultimately responsible for the errors or failures of its agents.³⁸

In the Commission's Order Affirming the Settlement Officer's Decision in Best Way, *supra*, the Commission explained that respondent MTL had assessed unlawful storage charges, and thus violated 46 U.S.C. § 41102(c)³⁹ in failing to observe just and reasonable practices connected with the handling, storing, and delivering of Complainant's property. (See, Best Way USA, Inc. v. Marine Transport Logistics, (See, Order Affirming Settlement Officer Decision, dated November 8, 2013, FMC Informal Docket No.: 1901[I]).

On this issue, the Commission explained as follows:

In Yakov Kobel v. Hapag-Lloyd A.G., Docket No. 10-06, __S.R.R. __, __, slip op. at 21, (FMC July 12, 2013), the Commission established that the proper test for determining if Section 10(d)(1) has been violated is "whether there was a failure in observing and enforcing the established just and reasonable regulations and practices, regardless of whether the question involves a single shipment or multiple shipments."

Even a single failure qualifies as a violation of the statute. *Id.*; see also Bimsha International v. Chief Cargo Services, Inc. and Kaiser Apparel, Inc., 32 S.R.R. 1861, 1866 (FMC 2013) ("NVOCCs violate section 19(d)(1) when they fail to fulfill NVOCC obligations, through single or multiple actions or mistakes, and therefore engage in an unjust and unreasonable practice."); Smart Garments v. World/ink Logix Services, Inc., Docket No. 10-11, __S.R.R. __, __, slip op. at 5, (FMC September 12, 2013) (If the regulated entity "establishes just and reasonable regulations and practices, but fails to observe and enforce those regulations and practices, then it has violated section 10(d)(1), regardless of whether a single shipment or multiple shipments are involved."); Houben v.

³⁸ *Id.* at p. 8 (citing Restatement [Third] of Agency §§ 7.03-7.06; Hellenic Lines Ltd - Violation of Sections 16 [First] and 14, 7 FMC 673, 676 [1964]; Unapproved Sec. J 5 Agreements -Spanish/Portuguese Trade, 8 FMC 596, 609 [1965]; Malpractices - Brazil/United States Trade, 15 FMC 55, 59 ["Shipping Act cannot be circumvented through the medium of an agent"]; Pickup and Delivery- Puerto Rico, 16 FMC 344, 350 [FMC 1973] [stating, "Respondents cannot insulate themselves from the responsibility for the proper performance of the service by attempting to relieve themselves of accountability for their agents' acts."]; and Corpco International Inc. v. Straightway, Inc. - FMC Dkt. No. 97-05, 28 S.R.R. 12 [I.D. 1998], *adopted*, 28 S.R.R. 296 [FMC 1998]).

³⁹ Section 10(d)(1) of the Shipping Act of 1984. On October 14, 2006, the President signed a bill reenacting the Shipping Act as positive law. The bill's purpose was to "reorganize[e] and restat[e] the laws currently in the appendix to title 46. It codifies existing law rather than creating new law." H.R. Rep. 109-170, at 2 (2005).

World Moving Services, Inc., 31 S.R.R. 1400, 1405 (FMC 2010) (NVOCC failed to make payments "necessary to secure release of cargo" and failed to resolve a commercial dispute); Symington v. Euro Car Transport, Inc., 26 S.R.R. 871, 873 (ALJ 1993) (NVOCC failed to carry out obligation it was paid to perform, thus failing to "establish, observe, and enforce just and reasonable regulations and practices relating to the receiving, etc. of property..."); William R. Adair v. Penn-Nordic Lines, Inc., 26 S.R.R. 11, 19-20 (ALJ 1991) (NVOCC reneged on agreement and refused to refund freight even though it "never performed the transportation service"); Corpco Int'l, Inc., v. Straightway, Inc., 28 S.R.R. 296, 300 (1998) (forcing shipper to pay transshipment costs for the release of cargo after shipper had already paid a rate previously agreed was an unreasonable business practice); and Total Fitness Equipment, Inc. d/b/a, Professional Gym v. World/ink Logistics, Inc., 28 S.R.R. 534, 542 (FMC 1998), *aff'd*, Worldlink Logistics, Inc. v. Federal Maritime Comm'n, 203 F.3d 54 (D.C. Cir. 1999) (attempting to collect an unreasonable debt by refusing the release of cargo was a violation of the Act).

As was determined by the Settlement Officer and by the Commission in Best Way, *supra*, MTL has similarly, in the matter at bar: a) assessed unlawful storage charges at origin; and b) failed to carry out obligation it was paid to perform (to wit: to obtain the trailer it was paid twice to obtain), and as a result, MTL violated section 10(d)(1) of the Shipping Act by failing to observe just and reasonable practices connected with the handling, storing, and delivering complainants' property.

As explained herein, the boat remained in storage while awaiting a trailer for purposes of export (or as alleged by respondents, awaiting shipping instructions), but nevertheless, respondents assumed responsibility to procure the trailer, as well as responsibility for obtaining shipping instructions. It was only *after* the boat sat in storage *for approximately four months*,^{40, 41}

⁴⁰ The Presiding Officer states that "In November 2013 Solovyev told Safonov he found a trailer for the Formula but Safonov did not like the trailer" (See, ID at p. 17, ¶ 83). 62. While the Presiding Officer noted in FF# 84 in the ID that "[i]n December 2013, Solovyev found another trailer for the Formula that Safonov found acceptable (RX 72 (Dep. of Safonov 64:20-24)...)" this finding of fact was based solely on complainants' deposition testimony, which explained that Solovyev emailed complainants photos of a trailer that complainants found "good or proper" and "suitable". Aside from complainants' deposition testimony regarding receipt of photos of the trailer, there is no evidence on the record, other than the invoice created by RFG for the alleged sale of the trailer, that supports finding that a trailer was ever purchased by Solovyev.

that Solovyev, *for the first time*, purported that the boat could not be exported unless a trailer was secured for it, and notwithstanding that Solovyev collected monies for the trailer months prior, he charged complainants a *second* time for the trailer which was ultimately never provided.

As further demonstrated in this brief, MTL's failure to observe just and reasonable practices connected with the handling, storing, and delivering property is part and parcel with its business model and *modus operandi*, and it requires no stretch of the imagination or mental exercise to understand why this is the case, given the undisputed principal/agent relationship between MTL and a convicted criminal.

As set forth herein, the record also demonstrates that Solovyev never procured a title for the Formula, nor did he procure title for the *trailer* for the Formula, even though he represented to complainants that he had purchased one, thus creating a situation where the Formula together with trailer could not be exported due to the fact that U.S. Customs and Border Protection ("CBP") requires a certificate's of title to be presented to them at the time of export.

Complainants further respectfully submit that Solovyev's purpose in acting in this manner and failing to provide a trailer was twofold: (1) to allow him to keep the Formula in his custody and control as "security" or "collateral" until such time that the complainants were able to sell the Mercedes and Porsche that Soloveyv shipped to complainants' facility in Dubai, and then send Solovyev the proceeds of said sale (see, ID at p. 6 and FF#'s 101-102)⁴²; and (2) to allow Solovyev to be in a position where he could "jack up" storage fees and ultimately refuse to

⁴¹ The record shows that complainants waited another two months before coming to the conclusion that respondents' were "crooks" and instructing them to ship the Formula to Miami.

⁴² See also, Deposition Transcript of Alexander Safonov dated December 3, 2015, annexed to Respondents' Appendix (Document Number 15 on the Docket) on page "RX73", Transcript pages: p. 66/ 1n. 13- 25; p. 67/ 1n. 1- 3.

release the boat unless complainants agreed to pay storage charges in an amount approximately equal to the value of the boat.

As set forth above and with specific regard to the trailer for the subject Formula, which respondents purport to have purchased and identified in Invoice # 1204 AS, in the Additional Proposed Findings of Fact above, complainants' Expert Witness in the matter of World Express, *supra*, provided a report, explaining on pages 5-6 thereof that VIN number LW95141 is 'invalid' pursuant to Federal Regulations and that this trailer as identified in RFG Invoice # 1204 AS "could not exist based upon the VIN number which is listed in it (specifically VIN# LW95141 – 37 foot trailer, year 2005)".

As the Presiding Officer can see, complainants' expert also explains that a search for this VIN number was attempted using the Carfax database, which resulted in a return message from Carfax explaining that "The VIN must be 17 characters". See, *Id.*

The Presiding Officer is also respectfully asked to note that the report explains, on page "7" that:

"As to the boat trailer identified in Royal Finance Group, Inc. Invoice" # 1204 AS (specifically VIN# LW95141 – 37 foot trailer, year 2005), in the absence of any other documents that could possibly be relevant to the registration and/or ownership of the trailer, such as a proof of registration, Certificate of Title, proof of insurance, purchase invoice or otherwise, the trailer under VIN number LW95141 never existed."

Complainants' expert witness also confirmed on pages 6-7 that in order to ship a boat trailer or a boat on a trailer, a title is required due to the fact that U.S. Customs classifies boat trailers in the same manner as self-propelled vehicles. In the event that a boat on a trailer is being shipped, U.S. Customs would validate the title for the trailer. The report explains, on page "7" as follows:

“Additionally, in the absence of any proof of ownership for the trailer (for example, a Certificate of Title), this trailer with non-existent VIN number could not be exported outside of the United States under U.S. Customs regulations.”

Also Mr. Alper testified regarding: MTL’s knowledge regarding the requirement that U.S. Customs officials must validate the Certificate of Title for a boat trailer prior to export (in the same manner that automobiles cannot be loaded onboard an ocean liner without having their Certificates of Title validated by U.S. Customs), explaining as follows: “...in order to ship a boat trailer or a boat on a trailer, a title is required due to the fact that U.S. Customs classifies boat trailers in the same manner as self-propelled vehicles. In the event that a boat on a trailer is being shipped, U.S. Customs would validate the title for the trailer.” (See, Transcript of the Deposition of Dimitry Alper of January 31, 2018, in Appendix To Complainants’ Status Report, filed on November 1, 2018, at Appendix “A”, p. 22/ln. 12-25; p. 23/ln. 1-16).

Additionally, in the Additional Proposed Findings of Fact above, on July 24, 2017 the New York State Department of Motor Vehicles responded to a request pursuant to the Freedom of Information Law (“FOIL”) for records of Car Express inasmuch as it was a licensed automobile dealer. A copy of the DMV’s FOIL response indicates that in the Abstract of Title Record for the Formula, the last registrant of the boat was listed as “Christopher J. Leahy” and that the registration expired on “4/13” (see, page Bates no.: DEF0499, Appendix “B”). No further title was issued for the boat as can be seen on page bates numbered DEF0501, which states as follows: “NO TITLE ISSUED – CONTACT TITLE BUREAU AT 518-486-4714 TO VERIFY OWNER INFO”.

While complainants may have paid MTL in 2013 for the purchase of the Formula, and while respondents issued invoices for monies allegedly due for services rendered with respect to the boat, such as delivery to the port of loading, the preparation of shipping documents, loading

and shipping to Dubai, and the purchase of a boat trailer in 2013, respondents did not obtain title to the boat until two years after the boat was allegedly purchased for complaints, to wit: title was obtained in April 28, 2015 (See Resp. 027, a copy of which is attached to Complainant's Brief In Support Of Exceptions To Initial Decision, as Appendix "11").

Respondents' Practice of Issuing Inflated Invoices

With respect to the Formula for which complainants paid respondents the sum of \$56,280.00 in or about August of 2013 in order to *purchase* said boat, the Presiding Officer is urged to note that while respondents may have *collected* the sum of \$56,280.00 from complainants in 2013 for a virtual bid on the boat at the auction warehouse known as "COPART" (in which the owner of said boat, Travelers Indemnity Co. placed for auction), that the respondents did not acquire legal ownership of the boat until two years later, to wit: in or about April 28, 2015, at the time that MTL's 'agent' Car Express & Import Inc. purchased this boat from the company (identified as VW Parts Inc.) that had bought it from Travelers Indemnity Co. As set forth above in the Additional Proposed Findings of Fact, the Copart invoices produced by respondents during discovery herein and used by respondents during the shipping process are fake, and not part of Copart's business records - - this was confirmed by Copart in response to a Subpoena issued to Copart in the matter of World Express, supra.

MTL's Violation Of Section 10(D)(1) Caused Injury To Complainants

MTL's conduct as set forth herein directly caused injury to complainants and resulted in the total loss of the Formula, which allegedly rotted away in storage over the years, and if still in respondents' possession is no longer seaworthy. Complainants' loss and injuries included, but were not limited to monies paid for the boat itself, and monies paid related to trucking/inland freight, loading/unloading, ocean freight and other charges incident to its export which were paid to respondents.

CONCLUSION

MTL, acting as an NVOCC, has violated Section 10(d)(1) by failing to observe just and reasonable practices connected with the handling, storing, and delivering of Complainant's property, by, inter alia: knowingly failing to inform complainants as to the accrual of storage charges for the Formula boat; in failing to perform necessary duties such as procuring a trailer, in engaging in the practice of issuing inflated invoices. Complainants are entitled to reparations for the loss of the Formula as set forth in the Complaint and the Complainants' opening and reply post hearing briefs, as well as an award of attorney's fees.⁴³

WHEREFORE, it is respectfully requested that on remand, that Complainants' be granted judgment in their favor with regard to their Shipping Act claims regarding the Formula boat, together with such other and further relief as the Presiding Officer may deem just and proper under the circumstances.

Dated: September 27, 2019
New York, New York

Respectfully Submitted,



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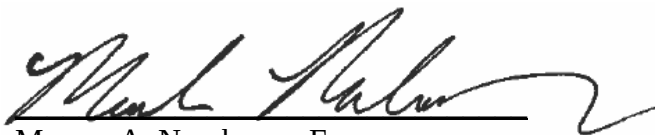
⁴³ We also request leave, if necessary, for additional discovery as to the sum of \$12,000.00 referenced herein because it believed that this sum includes monies for commissions charged to complainants which are not contained within MTL's tariff; and that the Bureau of Enforcement be notified as to Solovyev's perjury under oath regarding his relationship with WEC as well as his proffering fake Copart invoices in this matter.

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the **COMPLAINANTS' REMAND BRIEF** upon Respondents' Counsel at the following address:

Garry Pogil, Esq.
112 West 34 Street, 18 Floor
New York, NY 10120

by first class mail, postage prepaid, and by email to: garry.pogil@gmail.com.

A handwritten signature in black ink, appearing to read "Marcus A. Nussbaum", written over a horizontal line.

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Dated: New York, New York
September 27, 2019